The key take-away at the financial planner/financial advisor level is ensuring that any recommendation made to a client should be because it is a course of action that is the best fit for and in the best interests of the client based on his or her unique circumstances. The fact a recommendation may have implications on the compensation of the financial planner/financial advisor-directly or indirectly-is immaterial and should not be a factor in making the recommendation.

Controls for Internal Compensation Arrangements and Incentives

In its Client Focused Reforms, the CSA provide examples of controls a registered firm that offers internal compensation arrangements or incentive practices should consider:

- applying consequences for conflicts violations that are proportionate to the potential benefit that could be achieved for reaching the sales or revenue target or the compensation or incentive threshold. For example:
  - prohibiting the registered individual from future participation in the compensation arrangement or incentive practice
  - requiring that the registered individual be compensated in a way that does not vary depending on the amount of revenue that they generate for the firm or the product or service that they recommend
  - requiring that a portion of the benefits or bonus be repaid to the registered firm
  - demotion or termination of employment
- tying a portion of the registered individual's variable compensation to the absence of valid client complaints against the registrant, or to the registered individual's compliance with the registered firm's policies and procedures
- limiting the registered individual's variable compensation to a lower portion of their total compensation
- deferring payment of a portion of the compensation or incentive for a reasonable amount of time
- maintaining internal compensation arrangements that do not differ by product or service sold to the client, or by account or client type

In addition to controlling these conflicts in the best interest of clients, a financial planner/financial advisor who is a registrant must comply with the suitability determination obligation. If certain products or services available at a firm compensate its registered individuals better than others, in addition to determining that the recommendation is suitable, registered individuals must put their clients' interest first when deciding which product or service to recommend. As a result, the client's interests, not the registrant's interests, must guide the recommendations made by a registrant to its clients.

Registrants must not recommend a product or service just because it pays them better than the alternatives. This is also consistent with a registrant's obligation to deal fairly, honestly and in good faith with his or her clients.

Conflicts Related to Referral Arrangements

The CSA has indicated that paid referral arrangements are inherent conflicts of interest which, in its experience, are almost always material conflicts of interest. As such, they must be addressed in the best interest of the client.

Before a registrant refers a client to another party (e.g. an investment specialist, an insurance specialist, a real estate agent, a lawyer, an accountant) in exchange for a referral fee, the registrant must determine that making the referral is in the client's best interest. In making that determination, a financial planner/financial advisor who is a registrant must consider the benefits to the client of making the particular referral over alternatives or making the referral at all.

In making a referral, registered firms and individual registrants must be guided only by the client's interests. A financial planner/financial advisor who is a registrant should not make a client referral to a party solely because of the referral fee that he or she will receive from that party or because the amount or duration of the referral fee that they will receive from that party may be greater than the amount or duration of the referral fee that they would receive from a competitor to that party. If a client pays more for the same or substantially similar, products or services as a result of a referral arrangement, the inherent conflict of interest would not have been addressed in the best interest of the client. This is also consistent with a registrant's obligation to deal fairly, honestly and in good faith with its clients.

Full Control or Authority Over the Financial Affairs of A Client

The CSA has indicated that having full control or authority over the financial affairs of a client who is an individual (for example, through a power of attorney) or acting as an executor for a client's estate, is an inherent conflict of interest for a financial planner/financial advisor who is a registered individual. In its experience, this scenario is almost always a material conflict of interest.

Registered firms are expected to have policies and procedures in place to ensure that these conflicts are identified and are either avoided or otherwise addressed in the client's best interest. Similarly, a financial planner/financial advisor should be able to identify conflicts of this nature in their engagement with clients and respond to the conflict in accordance with the established rules and policies of his or her sponsoring firm.

Managing Conflicts of Interest

Identifying a conflict of interest is one matter; effectively and appropriately managing the conflict is a separate issue.

At a minimum, financial planners and financial advisors have a duty to always act in the best interests of their clients. For certain financial professionals, this duty of care is actually extended and enshrined in law by way of a fiduciary duty they owe to clients.

Acting in the best interests of the client in part means the financial planner/financial advisor must deliver professional services in a fair, impartial and ethical manner and must always have the best interests of the client in mind. Where a conflict of interest exists, it runs the risk of impairing the ability and willingness of the financial planner or financial advisor to live up to the 'Client First' Principle.

Therefore, if a financial planner or financial advisor finds himself or herself in a situation where a conflict of interest exists—be it, real or perceived—and the conflict is unlikely to be resolved, as a matter of best practice or based on the policies and procedures of his or her sponsoring firm, the planner/advisor should inform the client that he or she can no longer continue the professional engagement. Similarly, if a conflict of interest is not currently in evidence however, circumstances in the relationship between the planner/advisor and his or her client indicate the potential for a conflict to develop at some point in the future, it is advisable for the planner/advisor to decline to continue the professional relationship.

Informed Consent

An exception to the general rule that the professional relationship should be terminated when a conflict of interest arises or, is likely to arise in the future, is where the client makes an informed decision to continue working with his or her financial planner/financial advisor notwithstanding the existence of the conflict.

Under this situation, the planner/advisor must provide the client with full written disclosure of all material facts regarding the nature of the conflict and the potential impact it may have on their professional relationship. Providing the client with verbal notification or, simply identifying the conflict or only providing a basic, generic statement about the conflict does not fulfill the disclosure obligation for informed consent.

Once the client is fully aware of the existence of the conflict of interest and its potential implications but has nevertheless made the informed decision to continue with the engagement, the planner/advisor must obtain written consent from the client before continuing to provide professional services to the client.

Best Practices Managing Conflicts of Interest

As previously indicated, where a conflict of interest that cannot be mitigated exists, the safest and most prudent route to follow so as to minimize any adverse consequences—for the planner/advisor, his or her firm and most importantly, the client—is generally to terminate the professional engagement. However, the planner/advisor should not act unilaterally in this regard. It is important for the individual to notify his or her supervisor and/or compliance department immediately upon identifying the existence of a conflict and to seek out their counsel during all stages of the process. If the client makes the informed decision to continue the relationship, the financial planner/advisor must advise his or her supervisor and/or compliance department to get guidance on how to proceed and how the client's informed consent must be properly recorded.

Detailed and timely notes about the conflict of interest should be maintained in the client's file for future reference.

Most importantly, if the engagement must in fact be terminated, it must be done in a manner that does not cause harm to the client (financially or otherwise) and where the best interests of the client are protected.

Professional Conduct

Welcome to the lesson, Professional Conduct.

Professional Conduct: RRA Licensees

Actions of a Registered Retirement Analyst professional must always reflect positively on other RRA licensees, CIFP and the profession of retirement planning and financial advising more broadly.

A Registered Retirement Analyst licensee shall engage only in activities that contribute to and enhance the image of both his or her profession and CIFP.

A Registered Retirement Analyst licensee shall not denigrate another licensee, his or her firm or CIFP and shall not bring his or her profession or CIFP into disrepute.

A Registered Retirement Analyst licensee shall not engage in or associate with individuals who engage in any activities that would detract from a positive image, including behaviour such as, but not limited to: fraud, misrepresentation, deceit and the making of false or misleading statements.

A Registered Retirement Analyst licensee shall not speak or act in a manner that may lead another individual to believe he or she is officially representing CIFP, the CIFP Retirement Institute or any organization affiliated with CIFP unless they have been authorized to do so by CIFP.

Positive Image and Reputation

Actions of a Registered Retirement Analyst professional must always reflect positively on other RRA licensees, CIFP and the profession of retirement planning and financial advising more broadly.

A Registered Retirement Analyst licensee shall engage only in activities that contribute to and enhance the image of both his or her profession and CIFP.

A Registered Retirement Analyst licensee shall not denigrate another licensee, his or her firm or CIFP and shall not bring his or her profession or CIFP into disrepute.

A Registered Retirement Analyst licensee shall not engage in or associate with individuals who engage in any activities that would detract from a positive image, including behaviour such as, but not limited to: fraud, misrepresentation, deceit and the making of false or misleading statements.

A Registered Retirement Analyst licensee shall not speak or act in a manner that may lead another individual to believe he or she is officially representing CIFP, the CIFP Retirement Institute or any organization affiliated with CIFP unless they have been authorized to do so by CIFP.

Disclosure of Violations and Disciplinary and Enforcement Actions

A Registered Retirement Analyst professional must report knowledge of any violations of the Code of Conduct to CIFP in writing and must do so within prescribed time limits.

A Registered Retirement Analyst licensee who is guilty of an infraction or who is the subject of a disciplinary or enforcement action from any other organization, professional association, credentialing body or regulatory body must notify CIFP in writing in a timely manner. Following an impartial review of the circumstances, CIFP may impose sanctions on the Registered Retirement Analyst licensee in accordance with the facts of the case.

Compliance

A Registered Retirement Analyst professional shall comply with all applicable laws, by-laws and regulations of the governments, self-regulatory organizations and other oversight bodies where he or she resides and/or offers advisory services. An RRA licensee shall also comply with all rules, laws and by-laws of other professional associations to which he or she belongs.

It is the responsibility of a Registered Retirement Analyst licensee to remain up-to-date on his or her legal and regulatory requirements to operate in his or her jurisdiction. A licensee shall not engage in conduct involving fraud, deceit, misrepresentation or any activity that could reasonably be construed to contravene the letter and the spirit of the Principles contained within the CIFP Code of Conduct.

Ethical Conducts and Responsibilities

Financial planners and financial advisors do not live and work in a static stand-alone environment. Rather, they are part of a network of work, recreation and home environments made up of various people and elements that influence their daily actions and ones which also are, in turn, influenced by their actions and behaviors. Financial planners and financial advisors are part of a bigger picture made up of family, their employer, colleagues, community and an industry. Given this wide net of connectivity, the decisions a planner/advisor makes and the way he or she conducts himself or herself not only affects the planner/advisor but, directly or indirectly, affects others as well.

Responsibilities and Obligations Towards the Public

Maintaining good character and behaving ethically and with integrity towards others does not stop at the workplace. It is commendable when financial planners and financial advisors give their time, money and energy back to society by getting involved in charitable causes, volunteering their time or services to community causes or even getting involved in extra-curricular work-related initiatives such as putting on educational seminars for the public.

Whether they are acting independently or represent their firms in these initiatives, the way financial planners and financial advisors behave and conduct themselves are being duly noted by those they meet. A planner/advisor whose conduct is unbecoming or causes scandal to his or her profession will reflect badly not only on himself or herself, but also, on those around him or her. Financial planners and financial advisors should act with integrity, honesty, be proud of their profession and achievements and not disparage their firm, their industry or others for the way the public perceives their actions and the conclusions of the morals and value judgments of a planner/advisor, even while outside the workplace. Ultimately, this will have a great affect on them, their firm and their industry.

Accordingly, financial planners and financial advisors should conduct themselves in such a way as to:

- Promote improvement of the quality and availability of the services that he/she offers to the public
- Promote measures designed to provide education and information in the field in which he/she practices
- Conduct themselves with dignity, discretion, objectivity and moderation
- Refrain from practicing in conditions or in a state liable to compromise the quality of his/her services
- Refrain from persistently or repeatedly urging a person to use his/her professional services or purchase a product

Responsibilities and Obligations Towards Clients

Financial planners and financial advisors who act honestly, in good faith and with care when dealing with each client or potential client will help demonstrate a duty of loyalty towards them and this will foster a positive and reciprocal trusting interaction between themselves and their clients.

Accordingly, financial planners and financial advisors should conduct themselves in such a way as to:

- Place the clients interests above their own
- Take into consideration the limits of their knowledge and not falsely represent levels of competence or professional designations they do not possess
- Remain objective and disclose all conflicts of interests

- Practice with integrity and be conscientious in providing all clients with necessary information and advise clients properly

- Explain fully, objectively and impartially to all clients the advantages and disadvantages of the product or service that he/she is proposing and refrain from giving inaccurate or incomplete information

- Never make incomplete, false, deceptive or misleading statements

- Provide clients with explanations the client needs to understand and evaluate the product or service that is being proposed and make informed decisions

- Have a complete understanding of the facts before providing recommendations to clients

- Never appropriate money entrusted to him/her, or securities belonging to clients or any other individual, for personal use

- Avoid negative influences and interventions which could be detrimental to their clients or the way they perform their duties

- Respect clients personal information and use it for the purposes for which it was obtained. It should never be used to the detriment of the client or to obtain advantages for the advisor or others. Never disclose it except as required by regulators and by law.

- Refrain from dissuading clients from consulting other advisors or any persons of the client's choosing

Responsibilities and Obligations Towards Other Advisors and the Firm

Financial planners and financial advisors also have responsibilities to behave ethically towards their employer, their colleagues and all others within the firm. If each member carries out their responsibilities in a professional manner, in an ethically-driven environment based on trust and mutual respect, then the firm and each of its members will also benefit from the success that ensues.

Accordingly, financial planners and financial advisors should conduct themselves in such a way as to:

- Never make false, inaccurate or incomplete comments about another planner/advisor or representative either within the planner's/advisor's own firm or about planners/advisors or representatives in other firms nor about the products or services offered

- Use fair methods of competition and solicitation

- Refrain from denigrating, belittling or discrediting another planner/advisor, representative or firm

- Take pride in their work and their firm and support changes within the firm

- Disclose to the firm any illegal, dishonest or inappropriate activities or practices carried out by other advisors within the firm

Responsibilities and Obligations Towards the Profession

Clients will look to their financial planners and financial advisors to possess and maintain the proper knowledge, skills and qualifications needed to help them make sense of financial information and to help them make important decisions towards helping them achieve their financial goals. Clients place their trust and faith in their planners/advisors and expect that their planners/advisors own similar qualities when handling their information and money. In the practice of their profession, planners/advisors are required to act with integrity, lawfully and professionally and be accountable for their actions.

Accordingly, financial planners and financial advisors should conduct themselves in such a way as to:

- Avoid dishonesty and negligence in their practice

- Devote proper time and attention to clients

- Avoid activities which can discredit the advisor, the firm, the profession or any others in the marketplace

- Be aware of and report any illegal or unprofessional practices by others that may jeopardize the integrity of the profession and the marketplace

Responsibilities and Obligations Towards Oneself

Of course an important responsibility of a planner/advisor is their obligations to look after themselves and their families. As rules specify, though, planners/advisors should not put their interests above those of their clients. This need not always be a dilemma - for the interests of planners/advisors and their clients need not be mutually exclusive.

A financial planner or financial advisor who builds a good reputation for himself and his or her firm, who is known to be trustworthy and honest will find that financial success follows and the rewards of good ethics soon pay off.

In a simple illustration, think of an planner/advisor who may be tempted to sell a certain product or churn a clients investments not because it is suitable for the clients portfolio but rather because it may generate higher commissions in the short term. Think of that same planner/advisor down the road when eventually the client complains of, or a supervisor cites the planner/advisor for, providing unsuitable recommendations or conducting illegal trading practices. The chances of building a reputable and financially rewarding practice become dismal to none.

By being aware, then, of their obligations and responsibilities to all stakeholders in the investment industry and by upholding the industry's standards of ethical conduct, planners/advisors can help promote a good reputation for the firm, themselves and other and each can contribute towards fostering an honest, competent and reputable financial services industry.

Ethical Decision Making Process

As is true in a business setting, when faced with a dilemma, decisions of a financial planner or a financial advisor are not made in isolation, but rather, the planner/advisor should be cognizant of others that will be affected in the decision making process. As we have seen in the above examples, in providing products and services to clients, planners/advisors are not acting in an unconnected environment, but rather, they are aware of their simultaneous responsibilities to themselves, their firm and others around them who will be affected by their behaviour and the decisions they make.

But what happens when there are competing demands placed upon a planner's/advisor's responsibilities or when situational lines between doing what is right and wrong are blurred?

How does one know the decisions made are ethical?

It is not possible that any codes of ethics or business principles statements cover every eventuality or circumstance under which decisions must be made. Nor should they. Part of business life requires that planners/advisors have the freedom to take decisions in carrying out their business activities, as long as the decisions are consistent with their firms and industrys codes and principles. Indeed, even rules cannot cover every contingency.

It is inevitable, therefore, that there will be occasions where planners/advisors are confronted with situations not covered by policy, precedent or procedures or for ones in which they have not received any prior guidance. In these cases, advisors have to decide and judge the most appropriate course of action.

It is important to consider the outcomes of the decisions made when faced with ethical dilemmas. Let us look at some common tests and screens which provide assistance in the ethical decision-making process.

The 'is it legal' Test

It goes without saying that any action taken as a result of ethical decision making must be a legal one, one that does not contravene any rules, regulations and policies pertaining to the firm or investment industry. In these cases, codes, principles and compliance with the law and the firm's policies and procedures are there to spell out what is right and what is wrong.

Besides following rule-abiding policies, there are also other factors that a planner/advisor can be aware of in order to help guide them into doing what is right. For example, just as there are 'red flags' and 'jargon' that can alert planners/advisors to fraud, there are similar signs and cues found in business conversations that planners/advisors can tune into in order to avoid travelling down the path towards bad or unethical decision making.

The following statements uttered in the course of business can alert the planners/advisors to signs of impending improper, illegal or unethical behavioral outcomes:

Of course, sometimes the absence of taking action - of not saying or doing anything - can also lead to doing what is wrong or even unlawful.

Let's look at the following scenarios wherein a planner/advisor makes certain statements to his client about the returns of a particular investment.

Scenario 1: Bobbie Solo, the planner/advisor, says to his client, Maggie May

"If we take a close look at the returns of this investment, you will see that this investment has grown almost 20% over the last three years. Your money is guaranteed to almost triple in the next six years."

This is false representation. Not only is Bobbie guaranteeing a future return, but he fails to advise Maggie that returns fluctuate and past performance is not always indicative of future returns.

Scenario 2: Bobbie says to Maggie

"This investment earned almost 20% over the last three years. At this rate, your money would almost triple in the next six years."

This is also misrepresentation. While it may be true that "at this rate" may be proven mathematically, there is still the implication that the return will continue and that is unethical.

Scenario 3: Continuing from the example above, Maggie says to Bobbie

"Wow, those are wonderful returns. My money is going to almost triple in the next six years." Bobbie does not say anything.

In this instance, while technically not providing Maggie with any misinformation, Bobby's non reply is, nonetheless, a form of misrepresentation. This may be referred to as a "lie of omission" (deceiving others by omitting the truth). The planner/advisor has a duty of care towards his or her clients and is required to provide all necessary information, including clearing up any of the client's misapprehensions. As well, the planner/advisor must call upon his or her reliability and accountability to the client, for the client is relying on no other but the planner's/advisor's help in understanding the investment.

By not dealing openly, honestly and fairly, with his or her client in the above scenarios, and by choosing not to say anything, the planner's/advisor's conduct is not only unethical but also it transgresses the codes, rules and regulations of client-planner/advisor interaction.

Is the Decision Truthful?

In the client-planner/advisor interaction, honesty and trust is paramount. Think of the outcome of recommendations a planner/advisor would make for his or her clients if the planner/advisor was forced to make those decisions based on false information that was provided by the client at the outset. Say for example, the client overinflated or underinflated their net worth or income or their tolerance for risk. There would certainly be disastrous consequences that could ensue as a result that would affect not only the client but also the planner/advisor. Whatever internalized rationale caused the client to provide false information or whatever self-convincing arguments they employed to convince themselves they were protecting their own interests by doing so, in the end, it is their own interests which may end up being sabotaged.

The same holds true for any decisions that are based on falseness. Eventually, one falsity may lead to others which lead, in turn, to confusion and eventually decisions which may be to the detriment of all concerned. Ethical decision making, then, requires that it be based on truthfulness. An honest decision also makes for a clear conscience.

Is the Decision Fair?

While striving to ensure that decisions made are fair to everyone affected by them, to be fair sometimes means that a planner/advisor may be called upon to make unpopular decisions. For not all parties or stakeholders involved in a dilemma may be happy with the outcome of a decision.

To assist in making fair and equitable decisions, a planner/advisor can ask himself or herself, the following:

- Would I appreciate the fairness of the conclusion if the tables were turned and the decision made was applied to me?

- Would the actions taken (and the reasons for them) be deemed fair by others?

- Would an impartial observer make the same decision based on the facts involved?

- Have I weighed all the relevant facts to be considered and taken into account all parties who have a vested interest in the outcome in order to achieve a balanced decision? An individual's needs or a smaller group's needs should be equally weighed and fairly considered just as the needs of a larger one.

Though not all parties needs and wants will be addressed in a given decision and its outcome, they may come to appreciate and respect the planner's/advisor's application of fairness. This eventually will place the planner/advisor in a positive light that reflects well on the firm and the industry too.

The 'reasonable person' Test

Working side-by-side with testing for fairness in solving a dilemma, is the 'reasonable person' test.

This test requires that a planner/advisor ask that all-important question: 'What would a reasonable prudent person acting under similar circumstances do?'

This basic question forms the foundation applied not only to answering ethical dilemmas but also this question can be applied in multiple areas of a planner's/advisor's day-to-day dealings and responsibilities. It can be the basis for guiding recommendations made for a client's account, it can be a stop gap used to detect and prevent fraudulent behavior and, when taken into consideration with the other factors used in problem solving, provides a simple common-sense approach to ethically handling any given situation or occasion.

The Publicity Test

Another litmus test for judging ethical conduct and ethical decision-making is the publicity test. This test requires that a planner/advisor ask himself or herself how they would feel if the actions taken were revealed in a public context. For example, planners/advisors could ask themselves,

- How would I feel if my decision was published on the front page of my hometown newspaper?

- Could I justify the decision to my family?

- What would my friends, neighbours or other think if they found out what I did?

- Would I like others to know I made the decision I did?

- Will my actions build goodwill for the firm or will they bring embarrassment or shame upon it and myself?

Chances are, if a planner/advisor would be comfortable having others know what he or she did, then the decision is most likely an ethical one. Conversely, if they would not want family or people to know about their actions, then they most likely need to rethink the decision. There should be no need to hide any part of a decision or action if it is done openly and honestly and in good conscience.

The Test of Time

How does the planner/advisor feel soon after making the decision?

Once a decision is made, it is wise to reflect on it and learn from it. It is helpful to know that a decision can withstand the test of time. If a planner/advisor can revisit the action or decision a week, a month or years from the moment that it was made and still end up making the same decision after the fact, then they can feel more confident of having done the right thing. An ethical decision, then, is one that can withstand the test of time and is one that is appropriate in the short term as well as the long term.

Once dilemmas are vetted through the above screening process, eventually a planner/advisor can become closer to determining what is ethical and reaching an ethical decision.

While clearly a decision based on a dilemma that involves breaking the rules will be stopped after putting it through the first test (the 'is it legal' test), even most of the decisions involving 'grey' areas can be made more clear by reflecting on the outcomes after applying the other filters to the situation.

'Gut instincts' should also not be discounted when looking towards making ethical decisions. If a decision 'feels' right, it is usually an indication-although, not necessarily a guarantee- that you are on the right track. Gut instincts are usually used to save one from harm and certainly can be employed to guide decisions too.

Finally, planners/advisors should know that they can come to rely on managers, compliance staff or legal teams to help provide guidance in reaching ethical decisions. For they and the firm has a vested interest, too, in ensuring an ethical conclusion to a dilemma.

Advantages of Good Ethics

Like a good compliance system, having a good ethical policy is a hallmark of a well run business and one that makes good business sense. It enhances a firm's and planner's/advisor's reputation and reassures its investors and other stakeholders, alike, about a company's attitudes, values and approaches to ethical business conduct.

In addition to providing the means of following expected standards of ethical behaviour, a good ethical system creates awareness within the firm and can motivate and encourage loyalty in staff. A planner/advisor wants to be associated with a firm that has a good reputation in the marketplace and will behave accordingly to ensure that they remain employed by such a firm.

It is also a valuable tool in managing risk and prevention of complaints. With the proliferation of scandals involving theft, insider trading and fraud making the headlines, it is no wonder that firms and those in the investment industry are increasingly paying close attention to the ethical basis of a business and learning how to improve their business in ethical ways.

A well applied and followed ethical regime pays dividends. Just think of the expense (both monetary and non) of following up on instances of ethical misconduct.

In essence, then, good ethics fosters consumer confidence and creates a reciprocal trust which ultimately translates into respect, a good reputation and profitability for the firm and its planners/advisors.

Review

Let’s look at the concepts covered in this unit:

- Ethics
- Code of Ethics
- Client Focused Reforms
- Conflicts of Interest
- Professional Conduct

You should now have a good understanding of Ethical Practices and Professional Conduct concepts and when you are ready, you can complete the formal assessment.

Formal Assessment

Now that you have completed Ethical Practices and Professional Conduct, you are ready to assess your knowledge.

You will be asked a series of questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Note: Once you submit your answers to the assessment questions for grading, you will no longer be able to view the questions and the possible responses in their original format (you will only see the feedback for each question). If you want to use the assessment questions for study purposes at a later date, print the questions *before* you submit them for grading.

Go to Assessment

Investments

Welcome to the unit, Investments.

After completing this unit, you will be familiar with the following concepts:

- Decision Making and Behaviour
- Term Deposits, Treasury Bills and Interest Producing Investments
- Features of Mutual Funds
- Mutual Fund Structure and Oversight
- Types of Mutual Funds
- Mutual Funds and Taxation

Decision Making and Behaviour

Welcome to the lesson Decision Making and Behaviour.

Introduction to behavioral Finance

What is it?

behavioral finance is a sub-field of behavioral economics that uses insights from the fields of psychology, sociology and neuroscience to understand how people make investment decisions.

The development of behavioral economics and behavioral finance

The exact origin of behavioral economics is unknown, but to the surprise of many, elements of behavioral economic thinking date back to the 1700s. Adam Smith, best known for *The Wealth of Nations* in 1776 which laid the groundwork for classical economics, also wrote a lesser-known book called *The Theory of Moral Sentiments* in 1759. It is in the lesser known book that researchers now believe Smith's ideas presage the emerging field of behavioral economics.[1]

Regardless of its founding, the field of behavioral economics owes its greatest thanks to the work of psychologists Amos Tversky and Daniel Kahneman and economist Richard Thaler. The collaboration of these three individuals in the late 1970s led to the popularization of the behavioral approach to economic theory. In 2002, Daniel Kahneman won the Nobel Prize in Economics for his lifelong integration of psychological research into economic science. More and more research today continues to show the merits of this way of thinking. The following individuals, due to their contributions, are widely viewed as most influential today.

Leading Behavioral Economic Thinkers

Name	Current role	Popular writing**
George Akerlof*	Professor of Public Policy, Georgetown University	Animal Spirits Identity Economics The Market for Lemons
Dan Ariely	Professor of Psychology and Behavioral Economics, Duke University	Predictably Irrational The Upside of Irrationality
Robert H. Frank	Professor of Economics, Cornell University	The Darwin Economy

Daniel Kahneman*	Professor Emeritus of Psychology and Public Affairs, Princeton University	Thinking Fast and Slow
Hersh Shefrin	Professor of Finance, Santa Clara University	Beyond Greed and Fear
Robert Shiller*	Professor of Economics, Yale University	Animal Spirits Irrational Exuberance
Richard Thaler	Professor of Behavior Science and Economics, University of Chicago	Misbehaving Nudge The Winner's Curse

Conventional Finance vs. behavioral Finance

Conventional economics assumes that people make rational choices to maximize self-interest. In many traditional economics textbooks, the term *homo economicus (a.k.a. economic man)* is used to portray humans as rational people that seek to maximize utility as a consumer and profit as a producer. It assumes that "we can calculate the value of different choices we face, and that we are cognitively unhindered in weighing the ramifications of each potential choice."[2] In contrast, behavioral economics argues that humans often act irrationally. behavioral economists argue that traditional economic models are flawed because they don't recognize the limited brainpower of humans, the limited time humans have to make decisions, the fact that humans sometimes lack self-control and the reality that self-interest is not always the primary motive.[3] As Duke University professor Dan Ariely aptly states in his best-selling book, *Predictably Irrational*, "wouldn't economics make a lot more sense if it were based on how people *actually* behave, instead of how they *should* behave?"[4]

Can psychology-based theories explain stock market anomalies?

Richard Thaler, now often referred to as the father of behavioral economics, believes that finance is the branch of economics where behavioral thinking has made the greatest contributions. As one example, Thaler states that behavioral finance has proven that markets are not truly efficient as Eugene Fama, founder of the Efficient Market Hypothesis, concluded in the late 1960s. Thaler and colleagues argued that if the stock market were truly efficient then the market prices of closed-end funds would match the price of the underlying securities they hold (the net asset value, or NAV). Instead, the market prices of closed-end funds are determined by supply and demand, and interestingly, they tend to trade at substantial discounts to their NAV despite full transparency on the underlying holdings. In fact, discounts are highly correlated with individual investor sentiment.[5]

Conventional Finance	behavioral Finance

- Assumes people always make rational choices	- Assumes people often make irrational choices
- Assumes people are always informed and trying to maximize profit	- Assumes people are susceptible to irrelevant influences, emotions and short-sightedness

Although behavioral finance has grown in popularity in recent years, it is not without its critics. Perhaps not too surprising, Eugene Fama, regarded as the father of modern finance and proponent of the capital asset pricing model (CAPM), is the most outspoken critic. He believes anomalies in his market efficiency theory are short-term in nature and are eventually corrected by price competition. Fama has dismissed behavioral finance as a science and recently referred to it simply as "story-telling".[6]

Relevance to financial planning

The remainder of this report will explore various human biases that can lead investors to poor decisions. As investment planning is only one area of financial planning, it is important to recognize the application of behavioral finance to other choices that affect financial well-being.

As outlined in the *CFP Professional Competency Profile* and its accompanying *Technical Knowledge Document*, published by the Financial Planning Standards Council, a competent financial planner should possess knowledge of heuristics and biases and understand the impact of them on all of the financial decisions that clients make. [7] Emphasis on this will only increase in the future.

This report offers insight into the research conducted by the thought leaders I have previously mentioned. My goal is to inspire the reader to *develop* and *use* their knowledge of behavioral finance to assist clients in making better decisions.

Human and Investment Decision-making

When it comes to investing, human behaviour is complex. The following quotes, by prominent figures throughout history, highlight this.

"I can calculate the motions of the heavenly bodies, but not the madness of the people."[8] *~ Sir Isaac Newton, 1720*

"The investor's chief problem – and even his worst enemy – is likely to be himself."[9] *~ Benjamin Graham, 1949*

Both quotes can be found in Benjamin Graham's widely acclaimed 1949 book on value investing, The Intelligent Investor. The quote from Newton is in reference to a trade he made in the South Sea Company back in 1720. He became "swept up in the enthusiasm of the market" and lost GBP 20,000, a fair amount of money in that time, due to the South Sea Bubble. The second quote, by Graham himself, is self-explanatory but I will come back to this one later on.

Before we can dwell on investment decisions, we must examine how humans make decisions in general.

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How We Think

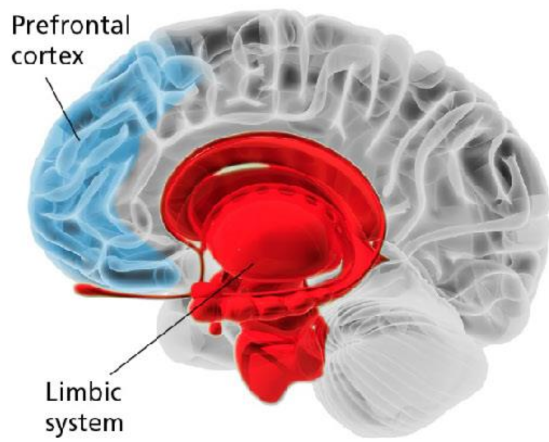
While many errors in human judgement are due to emotion, leading researchers today like Kahneman, Thaler and Ariely, have discovered that many of them are actually due to the basic wiring of our brains. "Our irrational behaviour are neither random nor senseless – they are systematic and predictable."[10] Kahneman and Thaler refer to the workings of the human brain and the way we think by describing the two cognitive systems we all have.[11] [12] The terms they use are artificial, meaning they are not the biological terms a neuroscientist would use, but they are associated with the central limbic system and the prefrontal cortex regions of the brain.

Cognitive Systems of the Human Brain

System 1: Automatic System	System 2: Reflective System
(associated with the brain's central limbic system)	(associated with the brain's prefrontal cortex)
Fast	Slow
Instinctive	Reflective
Unconscious	Conscious
Effortless	Effortful
Associative	Deductive
Impressions, right or wrong, lead to judgements	Reasoning leads to judgements
"Senses and Emotions"	"Executive Functioning"

The activities of the Automatic System (System 1) are associated with the oldest parts of our brain. Think of it as the part of your brain that leads to gut reactions. "Americans have an Automatic System reaction to a temperature given in Fahrenheit but have to use their Reflective System (System 2) to process a temperature given in Celsius."[13] For Canadians, the opposite is true. Likewise, a person whose first language is English will struggle to speak French using their Reflective System, and vice-versa. Most of our thought processes are System 1 responses, and they have been refined by learning and practice.

The Human Brain



Long-term planning happens in the brain's prefrontal cortex, while the more compulsive limbic system focuses on things that provide immediate gratification.

Source: Discover Magazine. http://discovermagazine.com/~/media/Images/Issues/2015/nov/brain-chart.jpg (accessed April 27, 2016)

The field of psychology has come to understand that errors in judgement occur due to the interplay between the Automatic System and Reflective System in our brains. So despite the fact that humankind can be smart enough to put a man on the moon, we can sometimes be fooled by seemingly simple problems. In the popular book, *Nudge*, Thaler and Sunstein use the following test as an example.[14] Go ahead, give it a try!

For each of the 3 questions, write down the first answer that comes to your mind.

See answers in the footnotes on the next page.

1. A bat and ball cost $1.10 in total. The bat costs $1.00 more than the ball.

How much does the ball cost? _____ cents.

2. If it takes 5 machines 5 minutes to make 5 widgets, how long would it take 100 machines to make 100 widgets? _____ minutes.

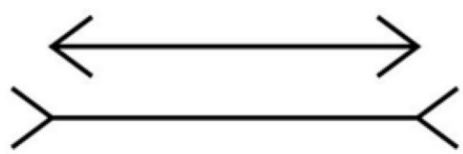
3. In a lake, there is a patch of lily pads. Every day, the patch doubles in size. If it takes 48 days for the patch to cover the entire lake, how long would it take for the patch to cover half the lake? _____ days.

If you made mistakes in the answers[15], as most people do, you are guilty of making decisions without consulting your Reflective System. You relied on intuition more than logic. You took a shortcut.

In Thinking, Fast and Slow, Kahneman references the famous Muller-Lyer illusion to highlight the autonomy of System 1.[16]

Figure: The Muller-Lyer Illusion

Disregarding the "arrowheads" or "fins", which of these figures has the longer line in its centre?



With a ruler, you can confirm that the lines are equally long. But you cannot prevent System 1 from seeing the bottom line as longer. To resist the optical illusion, you must use System 2, your conscious, to mistrust your impression, until System 1 can recognize it repeatedly.

Heuristics and Biases

The two examples above highlight errors of intuitive thought. They are difficult to prevent! As Thaler writes, "most of us are busy, our lives are complicated, and we can’t spend all our time thinking and analyzing everything."[17] Consequently, we use rules of thumb, or mental shortcuts, to help us. However, these mental shortcuts, known as heuristics, can fail to produce a correct judgement and lead to cognitive and emotional biases. A cognitive bias is a systematic error in thinking due to inferences or predisposed beliefs that affects the decisions we make. An emotional bias is a decision-making error due to emotional factors. Unfortunately, biases cannot always be avoided if our Reflective System has no clue to the error.

The early joint work of Daniel Kahneman and Amos Tversky shed considerable light on human decision-making. In 1974, the two researchers introduced the *representativeness heuristic, availability heuristic, anchoring heuristic* and the biases associated with each.[18] Later, a group of psychologists introduced the affect heuristic.

In the world of investing, there are many heuristics and biases that adversely affect our investment decisions. And we can blame human nature for them too as investing constantly tests the conscience. By understanding the role of heuristics and biases in human psychology, financial advisors can influence the decisions that clients make.

The Heuristics

Availability

The availability heuristic states that people tend to focus on what easily comes to mind and give undue weight to those events. If people can easily recall a negative event, whether personally experienced or not, they are more likely to be concerned than if they cannot.

The availability heuristic leads to biased assessments and helps explain much risk-related behaviour. It is the reason why insurance purchases increase when the media dwells on disasters like hurricanes, tornadoes, floods and earthquakes even if the probability of occurrence that the purchasers face is remote.[19] Since the media tends to give more attention to deaths caused by severe weather than deaths caused by disease, many people falsely believe that weather deaths happen more often.[20] For the record, the leading causes of death in Canada are, in order, cancer (30%), heart disease (20%) and stroke (5%).[21] Heart disease narrowly tops cancer as the leading cause in the United States.[22]

In short, the availability of information can lead to fear. The resulting emotions then colour our views and often lead us to bad decisions. It is the reason why investors pull out of the market when negative news headlines increase, even if those headlines are purely opinion.

A competent financial planner will help a family assess the probability and severity of the risks that they face. Obviously, risks that are determined to be material or critical need to be addressed. Various risk transfer strategies, like purchasing insurance to protect income streams and property (like homes and investment portfolios) can then be examined.

It is worth noting that the biased assessments people make can also be in response to good news. Positive headlines about a company might cause people to buy shares, even if by that point they have become a bad investment. The availability heuristic, in this case, can lead people to overreact due to greed.
There are two lessons here for investors: (1) recognize that rational thought is warped by media coverage, and (2) to "be fearful when others are greedy, and to be greedy when others are fearful."[23]

Anchoring

An anchor refers to something we know and stick to. In *Predictably Irrational*, Ariely cites the discovery by naturalist Konrad Lorenz decades ago that goslings, upon birth, become attached to the first moving object they encounter, whether it is their mother or a human. The gosling follows the object from then on through adolescence.[24] Initially, the gosling makes a decision based on what’s available in their environment but then they stick with it regardless.[25]

Investors are often tied to their first decisions too. Have you ever had a client insist on hanging on to an investment until it gets back to where they purchased it at, or back to a recent high price? By anchoring to the original price, or high price, the investor has, in effect, erroneously determined that the security they are holding is undervalued.

Successful investors recognize that the market does not care what an individual investor purchased their investment at. Instead, they base their trading decisions on the future prospects of the investment.

Irrelevant anchors also affect the decision-making process. A popular example is the diamond anchor. This is when a potential newlywed spends two months' pay for an engagement ring without any consideration for their financial situation. This anchor can be credited to the clever *"A Diamond Is Forever*" marketing campaigns created by De Beers mining company to increase diamond sales.[26]

The Importance of Self-awareness

Financial advisors should be aware that using arbitrary anchors can lead to problems in financial planning scenarios. Essentially, advisors need to understand their own psychological pre-sets and the implications they could have on the advice they give. Here are some examples.

Common Anchors in Financial Planning

Anchor	*Considerations*
Set aside 3 months' pay in an Emergency Fund	Instead of anchoring to this, consideration should be given to income characteristics (salary vs. commission, seasonality), job stability, health issues, marital status, dependents, homeowner status etc.
Save 3% of every paycheque	This does not inform how much someone would need to save in order to reach a financial goal in retirement.
Plan for 70% of pre-retirement gross earnings	Leaves clients vulnerable to insufficient savings in retirement. The expense-based approach of pricing desired retirement lifestyle should be used instead.
GDS and TDS ratios of 32% and 40% respectively	These are the bank's ratios to approve loans. However, clients should avoid anchoring to them, especially if they do not belong to a pension plan or have dependents.
Life insurance coverage of 10 times income	This rule of thumb is dangerous and could lead to inadequate coverage because it does not take into account age, debt obligations, dependent needs or existing coverage/available resources. A proper individual needs analysis should be done to determine the appropriate amount of coverage.

Representativeness and Affect Heuristics

Representativeness

In finance, we often wrongly judge that something is more representative than it actually is. For example, we become tempted to forecast future sales and earnings growth using just a few observations in the past. We fail to recognize that the change in sales or earnings could simply be the result of chance.

Consider a fair coin that is tossed 6 times. It is interesting that people regard the sequence H-T-H-T-T-H to be more likely than the sequence H-H-H-T-T-T.[27] In the second sequence, most people believe that a change is due because of the pattern they have identified. This is the representative heuristic at work. However, the outcome of a random process, like flipping a coin, is just due to chance. The probability of either heads or tails occurring next remains exactly 50%. The problem here is that people are applying a long-term theory over the short-term. As Kahneman and Tversky stated in *Judgement under Uncertainty,* "chance is commonly viewed as a self-correcting process in which a deviation in one direction induces a deviation in the opposite direction to restore equilibrium. In fact, deviations are not corrected as a chance process unfolds, they are merely diluted."[28]

In 1985, Richard Thaler, along with his colleague Werner De Bondt, refuted Fama's revolutionary market efficiency theory which states that stock market prices follow a random walk and that extreme fluctuations regress back to the mean extremely quickly due to the flow of information to market participants. Whereas Fama believed (and still does by the way) that the market price was always right and that it was impossible to beat the market, Thaler and De Bondt concluded that human and social psychology forces drive the market, sometimes significantly, from its fundamental value.

Thaler and De Bondt came to this realization by comparing the future 3 year investment performance of a portfolio holding recent "winners" (the best 35 performing NYSE stocks from the past 3 years) with a portfolio holding recent "losers" (the worst 35 performing NYSE stocks from the past 3 years). The portfolio of recent losers outperformed the portfolio of recent winners by approximately 25% over the period.[29] They concluded that investors overreacted to recent information to drive the losers down more than what was warranted and did not give enough weight to prior information (base data) on the companies. Eventually, the "losers" portfolio rebounded quite nicely and the opposite was true of the "winners" portfolio.

Although many studies have since emerged to show the benefits of short-term momentum strategies for periods of 3 to 6 months, the lesson here, which experienced investors know well, is that recent past performance does not predict future long-term performance.

The rule-of-thumb that caused the overreaction bias above is what Kahneman and Tversky had long-before called the representativeness heuristic. It may sound similar to the availability heuristic but there is a clear distinction. The difference lies in the judgement. The availability heuristic leads to bias when memory is at work, whereas representativeness leads to bias when prototypes, patterns or stereotypes are at work.

Affect Heuristic

The affect heuristic, developed by a team of psychologists led by Paul Slovic, is another general purpose heuristic in which people let their likes and dislikes determine their beliefs. [30] It is the heuristic in which emotions play a lead role and it is rooted in experiences. It has been used as an explanation for many consumer preference judgements. Kahneman summarizes in *Thinking Fast and Slow*, that if people slow things down, System 2 can resist the suggestions of System 1 through logic and reason. However, he notes that when it comes to attitudes, "System 2 is more of an apologist for the emotions of System 1."[31]

The affect heuristic is the equivalent of "going with your gut feeling" instead of relying on fact and it is the hardest thought process to tame. It is not deliberate, but more of a spontaneous reaction. This leads to emotional biases, where psychological predispositions affect decisions.

Heuristics Summary

Heuristics Summary

Heuristic	*Description*	*Problem for Investors*
Anchoring	A mental shortcut that helps us make a decision by using an initial value that readily comes to mind.	If investors base their trading decision upon a purchase price or a high price then they could continue holding a falling investment.
Availability (Recency)	A mental shortcut that helps us make a decision based on how easy it is to bring something to mind.	It is a subjective estimate of probability based on how "top of mind" an event is. Can lead to serious risk assessment errors as a result of fear.
Representativeness (Similarity)	A mental shortcut that helps us make a decision by comparing information to our pre-conceived ideas or stereotypes. For example, "a recent winner must continue to be a winner."	The problem arises when applying long-term theory over a very short-term time horizon. This could make investors optimistic about past winners even though they are overvalued and pessimistic about past losers even though they are undervalued.
Affect (Attitudes)	A mental shortcut in which people rely on "gut feelings" instead of considering risks and benefits independently (relying on facts).	Investors can let their likes and dislikes determine their beliefs about investments. However, your emotional attitude can change over time and this changes perceptions of risks and benefits.

Cognitive and Emotional Biases

To recap, a cognitive bias is a systematic error in thinking (a distortion in reasoning due to blind spots). An emotional bias is a distortion in reasoning due to attitudes and emotional factors. Both are caused by heuristics (mental shortcuts).

Deeper investigation of cognitive biases shows that they come in two forms: belief-neutral (error due to information processing) and belief-laden (error due to existing belief). The table below lists common biases that affect investors. The categorization of cognitive biases and emotional biases is sometimes difficult. Many of these biases involve a combination of cognition and emotion, especially those associated with the availability heuristic.

Behavioural Biases

Cognitive Biases		Emotional Biases
Caused by blind spots (the inability to analyze available information)		
Information-processing errors -individual fails to manage and organize information properly due in part to the mental effort required.	Belief perseverance errors -individual attempts to avoid mental conflict arising from information that contradicts with their existing beliefs.	Caused by psychological predispositions. They are not deliberate but spontaneous.
Anchoring and adjustment Availability bias	Conservatism bias Confirmation bias	Affinity bias Disposition effect
Bandwagon effect bias Framing effect Mental accounting Self-attribution bias	Hindsight bias Representativeness bias	Endowment bias Loss aversion bias Overconfidence bias Self-control bias Status-quo bias

If you are like most advisors, you may be guilty of rolling your eyes at client behaviour at one time or another. To improve long-term relationships, I would strongly encourage you to try to understand the cause of their behaviour to help them think rationally. As experienced advisors already know, certain investors have tendencies to certain biases. Investors who are emotional need to be advised differently from those who primarily make cognitive errors. Ideally, advisors should spend more time understanding each investor at the onset of the advisory relationship.

The information presented is meant simply to be a reference document to help you frame conversations. Along with improved decision-making for individual investors and advisors, knowledge of behavioural finance can assist other practitioners such as portfolio managers, investment bankers and company executives.

Note: the categorization of biases on this page and the descriptions on following pages come largely from the CIMA Investment Advisor Body of Knowledge[32]and the Center for Advanced Hindsight at Duke University. [33]

Summary of Biases and Potential Remedies

Cognitive Biases

Cognitive Biases	Description	Potential Remedy

Anchoring and adjustment	Investor is fixated on a particular price to sell at, such as a recent high price, or purchase price. Investor could also be fixated on a particular price to buy at, such as a recent low price.	Highlight to the investor that successful investors recognize that the market does not care what an individual investor purchased their investment at. Instead, they base their trading decisions on the future prospects of the investment. Dollar-cost averaging is a solution for investors that are fixated on a particular price to buy at.
Availability bias	It is a subjective estimate of probability based on how "top of mind" an event is. Can lead to serious risk assessment errors as a result of fear. Fact: Investors are sitting on record cash right now because of lingering fear from the global financial crisis. [34]	Investors are likely to miss out on returns over the long run. Attempt to give the investor a sense of perspective as they are only seeing a fraction of the economic picture because of the 'noise of the media'. For this, I would suggest the interactive "Big Picture" chart from the University of Chicago or the popular Andex chart by Morningstar. See web links to both charts in footnotes.[35]
Bandwagon effect bias (herding)	The tendency to align beliefs and behaviours with those of others.	Kahneman attributes herding to a System 1 tendency that results from a loss of confidence.[36] It can be overcome through education and thinking critically, like a contrarian, about trends.
Confirmation bias	This is when people tend to seek out information to support their opinion or the opinions of others (like a hot stock tip from a friend).	Advisors and portfolio managers can be guilty of this bias. The solution is to encourage contrary viewpoints from others. The lack thereof was one of the reasons for the downfall of Long-Term Capital Management.[37]
Conservatism bias	When investors fail to incorporate new information by continuing to hold their prior views. This can lead to underreaction or a slow update to a new forecast. (original info. is over weighted)	Investors that suffer from conservatism likely don't process complex information well and should look to work with professional advisors that can sort it out. Note the difference between this bias and status-quo bias.
Mental accounting bias	When people treat money differently depending on where it came from and where it is going.	Mental accounting need not be a bad thing but it can be dangerous for those that simultaneously borrow and lend (i.e. invest) at different rates.
Representativeness bias	As described in the description of the representativeness heuristic. This problem arises when investors apply long-term theory over a very short time horizon.	A potential remedy to highlight that patterns in returns are variable is to show the investor a Periodic Table of Returns. See footnote for sample.[38]
Self-attribution bias	The tendency for investors to claim that their successes were due to skill but that their failures were due to bad luck. Investors that cannot perceive their mistakes are subject to overconfidence.	Leads investors to underreact to information received from public sources and overreact to their own analysis. Difficult to correct. Emotions play a role as some psychologists suggest it is a defense mechanism for low self-esteem.

Emotional Biases

Emotional Biases	Description	Potential Remedy

Affinity bias	The tendency for investors to concentrate a significant portion of their portfolio in their home country or in a company they like because of the products they sell or their social values.	While it makes sense to hold a majority of your assets in your home currency, there are clear benefits to diversifying your investment portfolio by region, industry and company as modern portfolio theory proves.
Disposition effect	Because of loss aversion, investors have trouble coming to terms with their losses and tend to hold losers too long and sell winners too early. Hersh Shefrin uses the term "get-evenitis" to describe it.[39]	Many investors just cannot come to terms with their losses. Investors should be motivated to sell losers to exploit tax reductions. This effect shows that loss aversion leads to risk aversion – which is the preference to reduce risk in the face of uncertainty.
Endowment bias	This is the tendency to value what we own more than what we do not. This leads investors to hold investments that might not be ideal, especially assets that were inherited or gifted to them.	This bias is difficult to overcome. Education on the merits of the investment is useful but the strong emotional attachment is hard to break. Question them on what they would pay for the asset if they didn't own it to start the conversation on value.
Loss aversion bias	People try to prevent losses more than they try to make gains. See description of Prospect Theory.	This involves a value-based discussion with the investor. Visuals on the benefits of long-term investing can assist. The client should understand how volatility fits into their long-term financial plan. Stop-losses could be considered.
Overconfidence bias	The tendency for investors to believe they are right and that they are above-average. Typically, this investor seeks self-directed investing and resists believing that investing success depends partially on luck. This bias is a genuine feeling as opposed to self-attribution.	A discussion on diversification and historical investment performance is warranted. Also, it is appropriate to highlight the reality of long-term performance vs. benchmark. Kahneman suggests you should ask them about the probability that intuition leads to skill.
Status-quo bias	People are committed to keeping things the way they are. One of the causes of this bias is a lack of attention but generally the investor feels safe with the status-quo. They may consider changes to their portfolio but often end up doing nothing. This can be problematic when investors are content holding cash for long periods of time in their retirement accounts. Thaler jokingly says this bias is driven by the 'yeah-whatever' heuristic.[40]	The best possible solution for this bias is to ensure adequate time is spent upfront to implement a suitable investment plan because the investor is unlikely to change. After examining the long-term investment choices of pension plan members he discovered that the default cash allocation option was quite costly to plan members. Try sharing this quote by Sir John Templeton too, "the only way to avoid mistakes is not to invest – which is the biggest mistake of all."[41] Note the difference between this and conservatism bias.

An Emphasis on Come of the Biases

Loss aversion bias

Loss aversion bias, where people try to prevent losses more than they try to make gains deserves special mention. One of the key concepts of behavioural finance is what Kahenman and Tversky called *Prospect Theory* in 1979. The theory examines how people maximize value (utility) in choosing among alternatives that carry risk. They studied how people respond to the prospect of loss, an issue explored by Harry Markowitz in the 1950s and Daniel Bernoulli in the 1700s, by surveying responses to the series of problems below.[42]

Problem 1: Which do you choose?

A. Get $900 for sure

B. 90% chance to get $1,000

Most people choose A because they are risk-averse. This was expected.

Problem 2: Which do you choose?

A. Lose $900 for sure

B. 90% chance to lose $1,000

Most people choose B because they become risk-seeking when all choices are bad.

Problem 3: In addition to whatever you own, you have been given $1,000.

You are now asked to choose one of these options:

A. 50% chance to win $1,000

B. Get $500 for sure

Most people choose B, the sure thing. The expected outcome is $1,500.

Problem 4: In addition to whatever you own, you have been given $2,000.

You are now asked to choose one of these options:

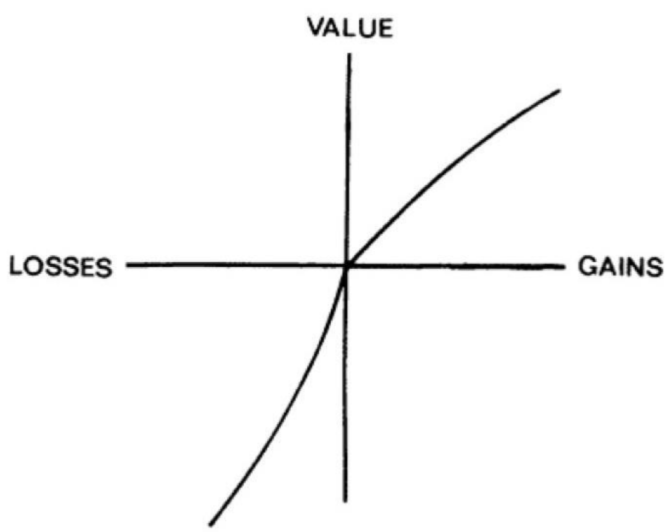
A. 50% chance to lose $1,000

B. Lose $500 for sure

Most people choose A, the gamble. The expected outcome is $1,500 but it could be better due to chance.

Their findings showed that most people reject a fair gamble in favour of a certain gain. But what surprised them was that people are affected by the way in which losses are framed. This phenomenon is referred to as *frame dependence (or framing effect bias)* and it has great implications when assessing investor risk tolerance. A rational person should have chosen the same answer in Problems 3 and 4 because the expected payoffs are the same (either $1,000 or $2,000 for choice A in both problems and $1,500 for choice B in both problems). This irrationality had never been recognized by proponents of traditional economics which relies on models that assume rational decision-making. The fact that people have a tendency to fear losses more than they value gains is what their famous graph, *The Value Function,* was designed to show. As you can see, the curve is s-shaped and asymmetrical to highlight the preference for avoiding loss.

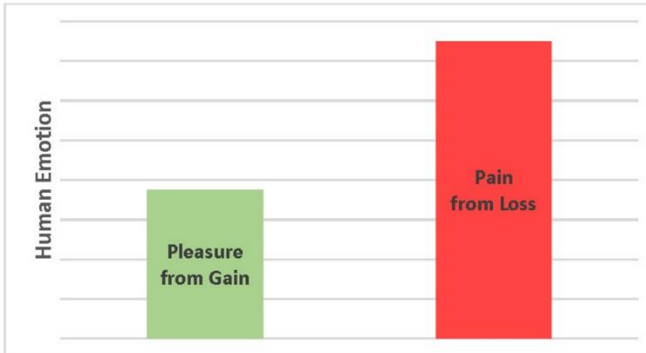
Figure: Value Function in Prospect Theory



Source: Kahneman, D. and A. Tversky. "Prospect Theory: An Analysis of Decision under Risk," *Econometrica* 47-2. Mar. 1979. Page 279.

Loss aversion visualized another way…

Another experiment to highlight human nature was done by observing a fair coin toss trial. Kahneman and Tversky discovered that most people turn down the chance to bet on a coin flip if the payoff is anything less than 2 to 3 times the wager.[43]



Mental Accounting and Anchoring and Overconfidence Biases

Mental accounting

According to economic theory, money is fungible and doesn't come with labels. Mental accounting is when people categorize and treat money differently depending on where it came from and where it is going. This is most pronounced in how households monitor their budgets. When people separate their money into "mental jars" it can be a costly self-control strategy and lead people to simultaneously borrow and lend (invest) at different rates.

In the investment world, many investors are more willing to gamble from some accounts (such as the "winnings" account) than they are from others (such as inheritances, gifts). Sometimes the categorization can be legitimate, in the case of RESPs and RRSPs. In other cases, it can be extremely fun to have a separate account for fun money (e.g. trip fund, boat fund etc.).

Anchoring bias

This cognitive bias was covered in the description of the anchoring heuristic but it is worth mentioning again. People's actions can be greatly influenced by arbitrary anchors. Ever heard of a real estate deal go bad because of small difference in price? Think about GIC rates. Have you ever had a client that was accustomed to a particular interest rate that is no longer possible? How about gas prices? Have you ever stopped to fill up after work and felt ripped off because the price was higher than what you made mental note of on your way into the office? The fixation doesn't have to be on price. Have you ever become frustrated at a restaurant when you ended up waiting longer than the 15 minutes the host told you the wait would be?

Psychological anchors are most at work with shoppers. The value that shoppers receive during a big sale is sometimes nothing more than anchoring because of the perception of steep discounts.

Recognize that existing and prospective clients will anchor to such things as the day you casually suggest for the delivery of a financial plan or the expected wait time in your office. As fee transparency and disclosures become more prevalent in the investment industry with CRM2, it will be ever more important that your clients perceive value in your service and advice. Sure you can anchor your client's mind on the fact that your investment management fee is lower than the average Canadian equity fund MER of 2.42%, but in the long run the perceived value of what you do matters more because engaging in a race to cut fees will end badly. [44] >Starbucks has been particularly successful at overcoming price anchors on coffee by creating a unique customer experience.[45]>Your customer acquisition strategies will likely have to evolve when it comes to dealing with millennials because they have entirely different price, service and investing anchors than the generation before.[46]>Many of the solutions around anchoring are only discovered after advisors ask enough questions. When a client says to you "that's a good question", you know you are getting somewhere!

Overconfidence bias

Investors with this emotional bias believe they are always right and that they are above-average. The popular study on this topic, *Trading is Hazardous to Your Wealth*>, was conducted by Brad Barber and Terrance Odean of the University of California, Davis.[47]>They studied over 60,000 households with discount brokerage accounts during the period 1991 to 1996. The clever name

of their report sums up their findings. They showed that overconfidence was to blame for increased trading (75% turnover) by individual investors which resulted in underperformance (11.4% vs. average household of 16.4%). Despite the same degree of risk aversion, overconfident traders had a tendency to hold under-diversified portfolios. Another finding was that men trade more frequently than women (45% more) and that men earn less than women (1% less). For single men and single women the gap was larger (67% more trading, 1.4% less).

Success or Luck?

Solving the age-old debate of what portion of investment success comes from luck and what portion come from skill is difficult. Kahneman has some strong views on this subject and seems to be pessimistic on the probability of investment manager skill.[48]Princeton University economist Burton Malkeil, author of best-selling book, *A Random Walk Down Wall Street,* believes investment success is purely random.[49]

The latest performance statistics give a mixed impression, depending on what market and time period you look at. In the United States, the latest *Persistence Scorecard* produced by S&P Dow Jones Indices shows that few equity funds (1.19% of large cap funds) remained in the top quartile over a 2-year period and that no funds (large-cap or small cap) remained in the top quartile over a 5-year period. [50]In Canada, the latest *SPIVA Scorecard* reports that 57.41% of equity funds outperformed the S&P/TSX Composite in 2015 but that only 34.25% outperformed over a 5-year period.[51]When fees are taken into account though, the picture looks worse. Morningstar's latest report on active vs. passive managers show that just 18% of actively-managed Canadian equity funds were able to outperform the passive alternative over a 10-year period.[52]

The *Determinants of Portfolio Performance* studies carried out by Brinson & Hood in 1986 and 1991 showed that investment policy (strategic asset allocation) dominates investment strategy (market timing and security selection). The study, conducted on U.S. pension managers showed that the asset allocation decision explained, on average, 91.5% of the variation in returns.[53]

Implications for Financial Markets

At this point, it is appropriate to recognize, as Hersh Shefrin points out in his book *Beyond Greed and Fear*, that "one investor's mistakes can become another investor's profits. But one investor's mistakes can also become another investor's risk."[54] What he is referring to here is that the collective actions of individual investors can lead to market irrationality.

Robert Shiller, another Nobel-prize winning behavioral economist, emphasizes the factor of overconfidence at a macro-level. His work is nicely summarized in his book called *Animal Spirits*.[55] Unlike Kahneman, Robert Shiller's work largely focuses on the macro-side of behavioral finance. He was one of very few economists that predicted significant problems with real estate prices in the lead up to the 2006-2007 U.S. credit crisis and global financial crisis that followed.

Examples of financial market anomalies

The following anomalies are widely mentioned in behavioural finance literature as regular examples of when markets act irrationally. The existence of them has contributed to the legitimacy of examining behavioural finance on a macro level. However, one must be aware of the dangers of relying on them too.

Anomaly	Description
The value effect	The positive relation between inverse P/E ratios and average returns for U.S. stock that could not be explained by the CAPM.
The size effect	The negative relation between security returns and the market value of the common equity of a firm (also known as *the small-firm effect*).
The momentum effect	Stocks on an upward (downward) trajectory over a prior period of 3 to 12 months have a higher than expected probability of continuing on the upward (downward) trajectory over the subsequent 3 to 12 months.
The weekend effect	A phenomenon in which stock returns on Mondays are often lower than those of the immediately preceding Friday.
The January effect	The general increases in stock prices in the month of January, following the December sell-off due to tax-loss selling.
The winner's curse	The phenomenon that may occur in common value auctions in which the winner tends to overpay. As seen in IPOs.
Equity premium puzzle	The higher historical returns of stocks over government bonds.
Dogs of the Dow	A strategy that was devised in 1972 and continues today. The strategy involves buying the ten stocks in the Dow Jones Industrial Average (DJIA) with the highest dividend yield at the start of the year and revising every year thereafter. It has outperformed the DJIA in 10 of 15 years. *Danger: critics rightfully argue that the benchmark is not an apples-to-apples comparison because the DJIA is a price-weighted index and the Dogs' portfolio consists of 10 equally weighted-stocks.*[56]

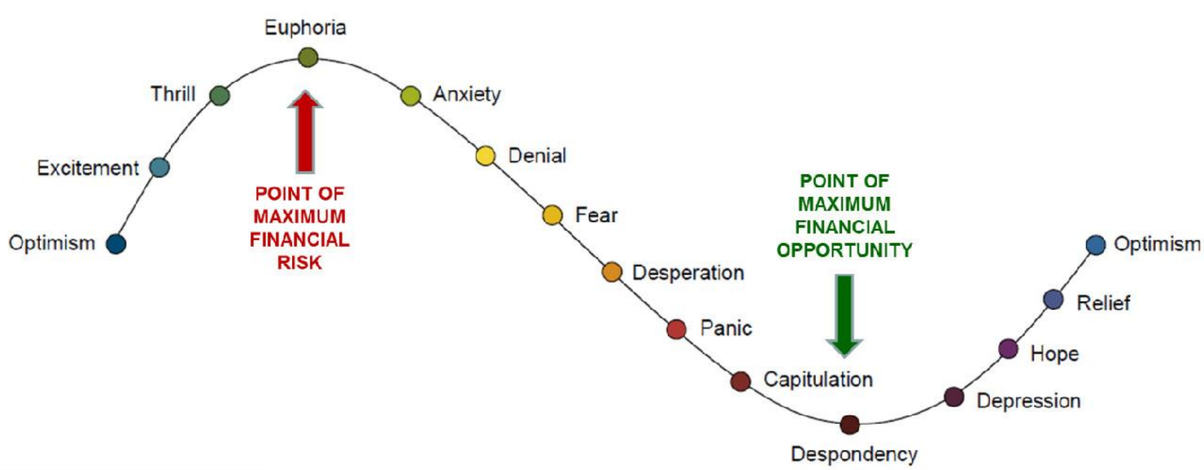
Herding

Humans are pack animals by nature and this makes it hard to be a contrarian. Herd behaviour *(the bandwagon effect)* is all about relying on the simple observation of others to acquire information. I recall someone warning me long ago that "when your cab driver asks you about a specific stock to take it as a sign that the market as a whole is becoming irrational." This was particularly evident during the dot-com bubble in the 1990s and the credit crisis of 2007. In Canada, at an individual stock level, names like Bre-X and Nortel are often associated with herd behaviour.

Without a doubt, the media has a role to play in herd behaviour but as Kahneman states, "herding is not necessarily something one does as the result of analysis. It is what one does when one's confidence is impaired."[57]

Herding causes investors to chase returns which leads to investor underperformance. Since 1994, Dalbar Associate's *Qualitative Analysis of Investor Behavior (QAIB)*has been measuring the effects of investor decisions to trade into and out of mutual funds. The results "consistently show that the average equity investor earns less - in many cases, much less [4%] - than mutual fund performance reports suggest."[58]This is because investors tend to pull money out at, or near, the market bottom and put money in, at or near, the top of the market due to a range of human emotions. These emotions are reflected quite nicely on the popular graphic entitled *The Cycle of Market Emotions.*A comparison of IFIC mutual fund flows data to the level of the S&P/TSX Composite Index from 1995 to 2015 by Mackenzie Investments confirms this investor behaviour.

The Cycle of Market Emotions



Source: This illustration is based on the chart created by Christianna Wood at Westcore Funds / Denver Investment Advisors LLC, 1998

S&P/TSX Composite Index vs. Mutual Fund Sales
1995 to 2015

Direct Source: Mackenzie Investments. Understanding Markets and Long-term Investing Report. December 31, 2015.[59]

Sir John Templeton's famous quote is quite fitting to conclude the topic of herd behaviour.

"Bull markets are born on pessimism, grow on skepticism, mature on optimism, and die on euphoria." ~ Sir John Templeton, 1994[60]

Summary Thoughts on Biases

- After going through the previous tables and descriptions, it may seem as though behavioural finance is all about psychoanalyzing every decision. In many respects it is.
- Understand there is an emerging emphasis on this dimension of your professional expertise.
- Recognize that investing deals with a great deal of uncertainty compared to other decisions in life so people tend to rely on one or more heuristics to make decisions. Since no one can predict the future, investors are tempted to rely on cognitive biases, which blind us to reality, or emotional biases, which let feelings get in the way.
- The true value in understanding the subject of behavioural finance is to gain an appreciation for thinking slowly so that decisions can be based upon reason and not coloured by views and emotions or by blindness. Will every decision work out the way you want? Absolutely not, but at least you can prevent avoidable risks that occur repeatedly due to herding, overconfidence (under-diversifying, trading frequently), the disposition effect or relying on self-attribution.
- Advisors should examine the biases and become more self-aware of their own psychological pre-sets. After all, we cannot utterly understand our clients until we understand ourselves.

- Personality Type and Investing Success
- Your personality is the way you relate to the world and it involves cognitive and emotional responses. It is largely impacted by experiences, especially in the development years. There is also an interaction with temperament. A formal definition for personality is "an individual's characteristic style of behaving, thinking, and feeling."[61] It is heavily influenced by factors like gender, culture and age.

- There is not a single, universally-agreed upon, way to measure investor success or investor personality type but we can look to the reported traits of a few of the most widely-regarded investors in history to gain an understanding. The table below lists their key traits and views.

	Warren Buffett[62]	Benjamin Graham[63]	John Templeton[64]
	Chairman, Berkshire Hathaway (student of Benjamin Graham)	Professor, Columbia University Father of security analysis and value investing	Founder, Templeton Funds
	1930 to present	1894 to 1976	1912 to 2008
Reported Traits	- Cool head - Steady hand - Defers gratification - Cheerfully greedy - Independent thinker - Modest - Sympathetic conscience - Emotional discipline	- Prolific writer - Exact reasoning - Deep memory - Mental training ability - Multi-lingual - Many interests (including plane geometry and music) - Very warm - Generous	- Thinks long-term but does not overthink - Patient - Less emotional - Opportunistic (uses cash to capitalize) - Doesn't panic - Learns from mistakes and the mistakes of others - Seeks answers to new questions - Regular prayer
Investment focus	- Looks for bargains among quality stocks	- Looks for bargains among quality stocks	- Looks for bargains among quality stocks
Investing views	- Preferred holding period is forever - Be greedy when others are fearful and fearful when others are greedy	- Invest with a margin of safety - Profit from volatility - Invest intelligently	- No investment is forever - Don't be fearful or negative too often - The only way to avoid mistakes is to not invest
An Interesting Quote	- When it comes to investing "If you have an IQ of 150, sell 30 points to someone else."	- "Do something foolish, something creative and something generous every day."[65]	- "The four most expensive words in the English language are "this time it's different."[66]

- Note: Peter Lynch, Jack Bogle and Thomas Rowe Price Jr. are also commonly referred to as extremely successful investors.

- Reminders and Tips for Dealing with Humans
- *Recognize the importance of emotion*
- One common trait among legendary investors Buffett, Graham and Templeton is their emotional stability. Keeping the emotions of your clients in check (and your own) is a key observation in behavioural finance.

- As Benjamin Graham wrote in *The Intelligent Investor* in 1949, "an intelligent investor is patient and disciplined…and able to harness emotions. This kind of intelligence is more of the character than of the brain."[67]
-
- *Personality types and emotional intelligence*
- Personality and the ability to maintain self-control have a considerable impact on investor behaviour. Personality tests like the *Myers-Briggs Personality Assessment,* which defines 16 personality types,[68] and the *Enneagram Test,* which defines 9 personality types,[69] can offer considerable clues about the way you think, behave and feel. Emotional Intelligence tests like the *EQ-i* can shed light on how your social and emotional functioning impacts performance in your personal and professional life.[70]
- While each provider will explain the benefits of their tools over measures like IQ, it is important to realize that personality and self-control start to develop at a young age. As advisors, we need to appreciate this reality when attempting to quickly modify client behaviours.
- A series of *Delay of Gratification in Children* studies which started in the 1960s by Stanford psychologist Walter Mischel (and others) identified specific cognitive and attentional processes in children (ages 4 to 6) that allow for self-control. The*Marshmallow Tests*, as they have been popularly referred to, conclude children that can delay gratification are more likely to achieve better life outcomes, as measured by SAT scores, educational attainment, employment income and BMI index.[71]
- *Self-control bias* is when individuals fail to balance immediate gratification with long term goals. Spending and investment decisions tend to be sub-optimal because they are focused on the here and now. Advisors can play a significant role in acting as a 'commitment device'. A commitment device, according to Stephen Dubner and Steven Levitt, authors of the *Freakonomics* series, is "a means with which to lock yourself into a course of action that you might not otherwise choose but that produces a desired result."[72] An example of this at work is called the debt snowball method promoted by Dave Ramsey. Ramsey's debt snowball method, whereby small debts are paid before large ones, is not optimal financially compared to the debt avalanche method, whereby high interest debt is paid down first, but it works behaviourally.[73] Another example is the website Stickk.com where people can create a commitment contract to help them achieve any goal – be it weight loss or a specific financial target.

Myths About Risk Tolerance

Reflect on your current risk profiling methods

The CFA Institute Research Foundation has argued that the current practice of risk profiling through general questionnaires provides a weak foundation for risk profiles. Many investment advisors view the risk tolerance questionnaire simply as a regulatory form. In actuality, it should be viewed as a living, breathing document. Moreover, they note that a particularly important time for the formation of risk preferences is between the ages 16 and 25 when beliefs about the world, society and life are formed. [74]

According to Paul Resnik and Gerda van der Linde of FinaMetrica, a leading risk-profiling firm, there are many myths about risk tolerance and how it can be measured. I encourage you to read the full article and whitepaper but here is a brief summary of their some of their views:

Myths About Risk Tolerance

Myth: People’s risk tolerance is variable and changes when markets rise and fall.

Reality: Risk tolerance is typically set by early childhood and it decreases only slightly with age, though major life events can change it.

Myth: A person’s appetite for risk is the same across all aspects of their life.

Reality: Just because a person likes to take physical risks does not mean they like financial risks or other sorts of risk.

Myth: Risk tolerance will determine asset allocation within an investor’s portfolio.

Reality: A risk tolerance assessment should tell the adviser the risk an individual is prepared to take in their financial affairs. But it is the risk profiling process that provides a proven methodology to ensure the suitability of investment advice.

Myth: Financial advisers can accurately estimate their client’s risk tolerance

Reality: Strong evidence of gender stereotyping exists. Advisers also assign too much weight to demographic variables like income, wealth and marital status.

Myth: Questions on time horizon of the investment, investor’s age and when the investor will retire are relevant to determine an investor’s risk tolerance.

Reality: While these are important aspects of knowing your client, they are separate factors to a person’s risk tolerance. Although, time horizon, for example, might be relevant to the measurement of risk capacity or risk required, it is not relevant to risk tolerance, which is an enduring psychological trait.

> FinaMetrica contends that *risk capacity* and *risk required* are financial characteristics and are different from *risk tolerance*, which is a psychological trait. Psychometric testing of risk tolerance in which risk tolerance and risk capacity can be assessed and considered separately is recommended.

Risk

	Description	Classification
Risk required	The risk associated with the return that would be required to achieve the client’s goals.	Financial characteristic
Risk capacity	The extent to which the future can be less favourable than anticipated without derailing the client’s plans.	Financial characteristic
Risk tolerance	The level of risk the client prefers to take.	Psychological characteristic

Directly Sourced from: "Risk Profiling: Art and Science". FinaMetrica, 2012. (accessed April 10, 2016) https://www.riskprofiling.com/WWW_RISKP/media/RiskProfiling/Downloads/Risk_Profiling_-_Art_and_Science_CAN.pdf

Educating Clients on Irrational Behaviour

As humans, "we can be blind to the obvious, and we are also blind to our blindness."[75] When educating clients on the biases covered in this report, and when attempting to remedy them, be sure that you criticize the behaviour and not the person. Also, be realistic in the success of the behaviour modification strategy as emotional biases are very difficult to correct.

Risk Tolerance	*Investor primarily affected by:*	*Behaviour modification is typically:*
High	Emotional biases	Difficult to correct
Medium	Cognitive biases	Easier to correct
Low	Emotional biases	Difficult to correct

An empathetic approach to communication is desired over a sympathetic approach.

Empathy vs. sympathy

Empathy – a person's ability to recognize and share the emotions of another person. It involves seeing someone else's situation from his or her perspective.

Sympathy – is a feeling of care and concern for someone accompanied by a wish to see him or her happier.

Never forget what clients value most

According to Harvard psychologist Amy Cuddy in her book *Presence*, people quickly answer the following two questions about you when they first meet you: *(1) Can I trust this person? (2) Can I respect this person?* Interestingly, Cuddy says "that most people, especially in a professional context, believe that competence is the most important factor. But in fact, warmth, or trustworthiness, is the most important factor in how people evaluate you. It makes sense when you consider that in cavemen days it was more important to figure out if your fellow man was going to kill you and steal all your possessions than if he was competent enough to build a good fire."[76]

Value of Financial Planning Global Survey by Financial Planning Standards Board

Selected findings:
- 60% of consumers don't know whom to trust when it comes to receiving financial advice
- Only 22% of consumers feel strongly confident that they will achieve their financial goals
- Only 17% of consumers believe strongly in their financial know-how
- Only 19% of consumers feel they are successful at sticking to their financial strategies

Source: http://www.fpsb.org/about-financial-planning/value-financial-planning/ (accessed April 15, 2016)

Value of Financial Planning Canadian Survey by Financial Planning Standards Council

Selected findings:
- Those who work with a CFP Professional are more likely to stay on track (78% vs. 54%)
- Those who work with a CFP Professional are closer to achieving life goals as a result of planning (70% vs. 60%)
- Those who work with a CFP Professional have greater peace of mind (73% vs. 63%)
- Those who engage in comprehensive planning report higher levels of emotional, financial and overall contentment

First impressions matter

It is likely that 9 out of 10 prospective clients will look up your profile online or view your website before they meet you. Consider obtaining unbiased feedback on your online photo for perceptions of trustworthiness, likability and competence. Check out www.photofeeler.com as an example.

Use sales techniques that drive emotion

As psychologist Daniel Goldstein highlights in his popular TED Talk, people are often motivated more by the things that money can buy than by financial projections of wealth accumulation. Use this to your advantage in sales and planning conversations with clients. Framing conversations with clients by presenting the concept of present-self vs. future-self may lead to desirable client behaviour and be more effective than using self-control strategies like commitment devices.[77]

Conclusion

It is clear that the standard model of human behaviour that rests on unbounded rationality and selfishness is flawed. However, this does not mean that behavioural finance will replace traditional finance because it too does not have all the answers. My view is that they can co-exist and become more integrated over time. For that to happen though, the leading thinkers in both camps will have to "sit down at the table".

At the micro-level, many investors *can* benefit from behaviour modification strategies. For that to happen, financial advisors need to look at behavioural finance as an opportunity to improve themselves in the role of behaviour coach. As Jason Zweig, columnist for the Wall St. Journal says, "good advice rarely changes, while markets change constantly."[78]An excellent investment advisor will help investors save them from themselves because, as Graham pointed out long ago, they are their own worst enemy.

Term Deposits, Treasury Bills and Interest Producing Investments

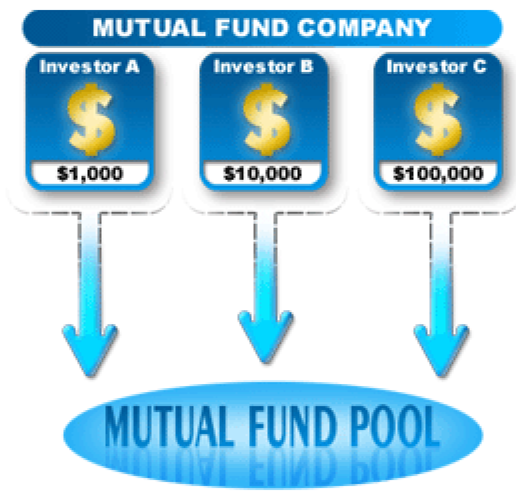
Welcome to the lesson, Term Deposits, Treasury Bills and Interest Producing Investments.

Features of Mutual Funds

Welcome to the lesson, Features of Mutual Funds.

Mutual Funds in Comparison

Mutual funds provide even those investors with modest savings, the opportunity to invest in stocks and bonds, and they provide the advantages of professional portfolio management, diversification and low minimum investments. They make it easy for investors to purchase shares and offer liquidity should an investor decide to redeem a portion or all of those shares.



Mutual funds are only one type of investment product in a range of investment funds that have evolved over time to meet the needs of today's investors. Investment fund can be used to refer to any corporation or trust that is engaged in pooling the savings of individual investors and managing the savings for their mutual benefit.

These include the following:

- fixed investment trusts
- closed-end investment funds
- open-ended investment funds
- segregated funds

The Benefits of Investing in Mutual Funds

Mutual funds have many things to offer the small investor, including the following services.

- professional portfolio management
- cost effective diversification
- liquidity
- low minimum purchase amounts
- automatic purchase and redemption plans
- flexibility in switching investments
- automatic record keeping and administration

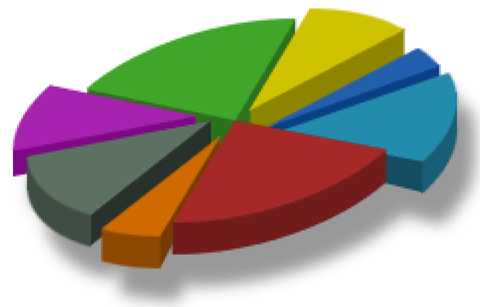
- Professional Portfolio Management
- Perhaps the biggest advantage that mutual funds have to offer is cost effective accessibility to professional portfolio management. An individual manager or committee of managers dedicated to selecting suitable securities manages each fund. They are supported by many analysts who are able to analyze the past, present, and potential future positions of the financial markets before they choose those securities that they believe best match the investment objectives of the fund. They are able to monitor performance continuously and adjust the fund's portfolio.

Cost Effective Diversification

Mutual funds give the small investor access to a diversified portfolio that simply would not be feasible if he or she were to make his or her own investment choices. For example, it would be impractical and expensive for someone with only $5,000 to purchase shares in 20 different securities. Assuming the investor purchases a minimum of one board lot (that is, 100 shares) of each security at an average share price of $10 plus commissions, an individual would have to invest at least $20,000, calculated as ((100 × $10) × 20), just to establish a modestly diversified portfolio.

Generally, securities regulations limit the holdings of any one security to 10% of the assets in the fund. However, since 2001, an index fund may invest beyond this concentration limit if required to allow it to satisfy its fundamental investment objectives, i.e. mirroring an index. However to do so, it must satisfy increased disclosure requirements , to investors and regulators, in the simplified prospectus. Securities regulations also limit holdings to no more than 10% of the outstanding shares of any one company. Both of these concentration limits encourage a minimum level of diversification in any mutual fund.

Because most mutual fund companies have an asset base of hundreds of millions of dollars, a fund manager would have no trouble constructing a portfolio of 100 securities or more. Because most mutual funds have minimum initial purchases of $1,000, $500, or even less, even the smallest investor can have access to instant portfolio diversification.



Example The BB Stock Fund is invested in 39 Canadian companies representing 15 different industry sectors, 32 U.S. companies representing 11 industry sectors, and 91 international companies operating in 23 foreign countries, excluding the U.S. The fund is sold as a no-load fund. An investor with any amount as small as $1,000 invested in that fund, has effectively bought into each of these companies without paying a commission on each transaction.

Liquidity

Due to the right of redemption, mutual funds are very liquid investments. Shares can easily be converted into cash by redeeming them at the net asset value per share. Most mutual funds compute the NAVPS at the close of business each day. Real estate funds make this valuation less frequently and are less liquid. The NAVPS for most funds are quoted daily in the business section of the major daily newspapers.

Example Theresa owns 2,638 shares of AA Income Fund with a NAVPS of $10. She instructed her broker to sell $12,000 of her investment in the fund. On the fourth business day after making the request, she picked up a cheque from her broker.

Purchase and Redemption Plans

Purchase plans

Many mutual funds offer consumers the convenience of a purchase plan option, which allows them to transfer automatically a set amount from their bank account to the mutual fund on a regular basis, often monthly. The monthly amount may be much less (as low as $25) than the minimum amount normally required for a lump-sum purchase.

Smaller amounts set aside on a more frequent basis compound at a faster rate than the same total amounts set aside less frequently.

Example Santo sets aside $25 at the end of each week, Margo $100 at the end of each month and Diego $1,200 at the end of each year for the next 25 years. Each investment earns a 7% nominal annual interest rate. At the end of the 25 years, Santo will have accumulated $88,174, calculated by entering DISP = 0, P/YR = 52, xP/YR = 25, I/YR = 7%, PV = $0, PMT = -$25, MODE = END, and solve for FV of an ordinary annuity.

At the end of the 25 years, Margo will have accumulated $81,007, calculated by not clearing your calculator and entering P/YR = 12, ×P/YR = 25, I/YR = 7%, PMT = -$100, and solve for FV of an ordinary annuity.

At the end of the 25 years, Diego will have accumulated $75,899, calculated by not clearing your calculator entering P/YR = 1, ×P/YR = 25, I/YR = 7%, PMT = -$1,200, and solve for FV of an ordinary annuity.

Redemption plans

Many mutual funds also offer some form of automatic redemption plan, which can be used to provide a regular stream of income. Purchase and redemption plans are discussed further in the section entitled, How Mutual Funds are Bought and Sold.

Flexibility in Switching Investments

Many mutual funds are organized in families meaning that a number of different funds are managed by the same organization.

In most cases, investors are permitted to transfer their investment from one fund to another fund within the same family at little or no charge. An investor can thus change her mutual fund portfolio cost-effectively as his or her needs change. For example, an individual saving for retirement might initially focus on equity funds that have the objective of high capital appreciation. Once that individual reaches retirement, he or she might switch to income funds that emphasize security and steady income, instead of growth. Many individuals switch their portfolio of funds to capture capital gains in a rising market or minimize capital losses in a declining market.

Example Todd noticed that the net asset value of his equity fund declined from $10.92 to $10.08 per share. He became very nervous about the future value of his investment and decided to switch out of the fund and protect some of the gains. He discussed it with his broker and switched his entire holdings to a combination of the money market fund and the short-term bond fund without incurring any cost to do so.

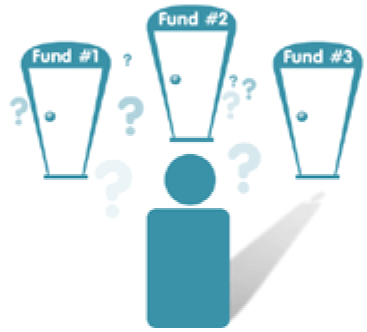
Automatic Record Keeping and Administration

The administration and record keeping associated with maintaining a diverse portfolio can be quite complex and time consuming. However, mutual funds provide each investor with transaction slips each time shares are bought and sold. They send periodic account statements to shareholders detailing the number of shares held, their original cost, any dividends reinvested for the period and the market value. At the end of the year, they also send the necessary tax receipts (T3 and T5 supplementary) with the information investors need for reporting investment income on their tax returns.

Mutual funds usually give the investor the option of having earnings automatically reinvested in additional shares in the fund.

Selecting a Mutual Fund

So far in this unit, we have learned that mutual funds have much to offer including professional management and cost effective access to a diversified portfolio. However, there are more than 1,000 different mutual funds offered in Canada! Once an investor has decided to invest his or her money in mutual funds, there are some difficult decisions to make.



Setting Financial Objectives

The first thing any investor needs to do is clearly define his or her objectives. Some questions that he or she should try to answer include:

- Will the mutual funds be held within an RRSP? Is the money being set aside for retirement? The investor receives a tax deduction for the contribution and the investments within the RRSP are sheltered from tax, but funds are taxed at 100% of his or her MTR when withdrawn.

- Will he or she need to withdraw the money in the short term? A 4% front-end load is less significant if an investment is held for ten years than if the fund is redeemed after a short time.

- How much risk is the investor willing or able to tolerate? Does he or she need to preserve his or her capital at all costs or can the investor afford to lose some money if things do not go as anticipated?

- What is the investor hoping to achieve by investing in a mutual fund? Is he or she trying to generate interest income, dividend income, capital gains, or a combination of all three? This will help the investor define the asset allocation mix that should be reflected in the mutual fund.

Once the investor has a good understanding of his or her objectives and constraints, he or she will be able to narrow a search down to one or two categories of funds that meet those objectives (for example, money market funds or equity funds). The investor will also be aware of any additional factors that may place constraints on selection, such as eligibility for an RRSP.

Understanding Fund Performance

The first factor that many would-be investors consider when looking for a mutual fund is its past performance or the return on investment. This is understandable; we all want to make money and the more our investments we earn, the better. However, a single performance figure is not sufficient information on which to base the selection of a particular fund.

Here are some factors to consider:

- historic returns
- consistency of return
- reward-to-risk ratio
- beta
- anticipated future returns

Historic Returns

- Any sales advertising that mentions performance must include the average annual compound rate of return for one-, three-, five- and ten-year periods assuming the fund has been in existence for that long. To enable better comparison between funds, all performance figures are based on the assumptions that all fund distributions were reinvested in the fund at the time of payment and that management fees have already been deducted. The performance figures do not account for sales loads, if any.

Consistency of Returns

Investors should look beyond the average annual compound rate of return. They should also consider the consistency of return from year to year by looking at the simple annual rate of return.

Example Consider the following two funds which both posted 5-year average annual compound returns of just over 7%. The simple annual rate of return and the growth of an initial $10,000 investment in each fund are shown below.

An individual who invested in Fund A at the beginning of Year 1 would see no difference between his or her total return and that of an individual who made the same investment at the beginning of Year 1 in Fund B. Both would realize an average return of just over 7% per year, and their accounts would grow to just over $14,100.

Fund A (Initial Investment of $10,000 at the beginning of Year 1)		
Year	Simple Annual Return	Balance at End of Year
1	12%	$11,200
2	2%	$11,424
3	26%	$14,394
4	-10%	$12,955
5	9%	$14,121
5-year average annual compound rate of return		7.1%

Fund B (Initial Investment of $10,000 at the beginning of Year 1)		
Year	Simple Annual Return	Balance at End of Year
1	7%	$10,700
2	6%	$11,342
3	8%	$12,249
4	7%	$13,107
5	8%	$14,155
5-year average annual compound rate of return		7.2%

However, Fund A is much more volatile than Fund B, and thus it poses greater risk to the investor. Consider the difference between two individuals who invested their $10,000 at the beginning of Year 4 in Fund A and Fund B, as shown on the following page.

Fund A (Initial Investment of $10,000 at the beginning of Year 4)		
Year	Simple Annual Return	Balance at End of Year
4	-10%	$9,000
5	9%	$9,810
2-year average annual compound rate of return		-1.0%

Fund B (Initial Investment of $10,000 at the beginning of Year 4)		
Year	Simple Annual Return	Balance at End of Year
4	7%	$10,700
5	8%	$11,556
2-year average annual compound rate of return		7.5%

Even though both funds had comparable 5-year average annual compound rates of return, an investor who did not make his or her investment in Fund A until Year 4 would be caught by the sudden decrease in performance during that year. Fund A poses more risks than Fund B, without greater return because the annual returns fluctuate more from year to year.

Reward-to-risk Ratio

When comparing two funds with similar long-term performance, the fund with more consistent returns (the lower volatility) is generally preferred. Some sources provide a measure that is intended to compare the return of a fund with its risk. In its simplest form, the reward-to-risk ratio is the return earned by the fund over a specified period, divided by the standard deviation of the return over that same period.

Funds with a higher reward-to-risk ratio are preferred.

$$\text{reward to risk ratio} = \frac{R}{STD}$$

where:

R = average return earned by the fund over a specified period

STD = standard deviation of the return over that same

Beta

The various methods of measuring the volatility of individual securities relative to the market can be extended to mutual funds.

The beta factor can be used to measure how closely fluctuations in a fund's return correspond with those of a suitable benchmark.

By definition, the benchmark is given a beta factor of 1. A fund that has an increase in return of 2% when the market experiences an increase in return of 2% would have a beta of 1, calculated as (2% ÷ 2%).

A fund with a beta greater than 1 experiences fluctuations in its share price greater than the change in the benchmark. The fund would outperform the benchmark during good times, but under perform during bad times.

Example A Canadian equity fund that has a beta of 1.15 could see an appreciation in its share price by 11.5% with a 10% increase in the TSX, calculated as (market return × beta) or (10% × 1.15).

Likewise a fund with a beta less than 1 will see its share price change in smaller amounts than the change in the benchmark. It will under perform the benchmark during good times, but outperform the benchmark during bad times.

Example A Canadian dividend fund that has a beta of .95 could see its share price decline by 9.5% with a 10% decline in the TSX, calculated as (market return × beta) or (10% × .95).

Betas of most individual stocks in Canada range between 0.25 and 1.75. Betas of diversified funds would tend to be around 1 because they have returns comparable to the market.

Future Returns

The future performance of any fund may differ significantly from its past performance. Potential investors should try to determine the cause for historical changes in performance, as well as any recent changes that might influence future performance, particularly as it relates to fund management. For example, if a fund has historically done very well over the past ten years, but suffered a dismal year last year, can it be attributed to market conditions or to a change in management? When comparing funds of similar performance, investors would choose a fund where there is an indication that the current portfolio manager is the one responsible for that past performance.

Fund Name	Calendar Year Returns							
	8 Years Ago	7 Years Ago	6 Years Ago	5 Years Ago	4 Years Ago	3 Years Ago	2 Years Ago	Last Year
Walker Equity	-8.98	4.12	16.96	14.82	1.67	46.56	30.25	34.54
Costello Cdn Growth	-14.69	0.79	29.70	4.24	-8.27	100.10	27.12	17.19

This table includes the annual returns for two Canadian equity funds. Both had very good years of performance and disappointing years. A prospective investor should want to know why the returns last year and three years ago differed so greatly? In addition, the returns on the Costello Canadian Growth Fund appear very inconsistent after its stellar performance three years ago. Was there a change in management or some other explainable event?

Daily Mutual Fund Tables

For most investors, buying shares in a mutual fund is just one step in the investment process. Once the shares have been purchased, most people keep close watch on the share prices and the distribution of dividends, to determine if they should continue to hold on to their shares or purchase additional shares.

Daily financial newspapers provide accurate daily third-party mutual fund data. Many of these same papers also provide comprehensive weekly, monthly, quarterly, and annual reports, summarizing performance and other relevant information.

Daily fund tables typically include the following information:

- the fund's net asset value per share
- whether a recent dividend distribution was made
- whether the fund's manager is a member of IFIC
- whether the NAVPS is current
- the change in the latest NAVPS over the previously reported NAVPS

Although the daily fund tables indicate whether a dividend has been recently paid, the details are listed in a separate dividend table.

The dividend table states the amount of income distributed and the type of income (interest, dividend, or capital gains). Furthermore, the table can provide a possible explanation for the sudden drop in a mutual fund's NAVPS. Many investors are surprised to see a sudden significant drop in the value of their shares, without realizing that a distribution may be the reason. The distribution reduces the mutual fund's NAVPS.

Example Jerome has 200 shares of Fund C which are valued at $11.36, for a total value of $2,272.00, calculated as (share value × number of shares) or ($11.36 × 200). The fund pays a dividend of $.26 per share. Jerome will receive $52.00, calculated as (dividend per share × number of shares) or ($.26 × 200) and the NAVPS of his 200 shares will drop to $2,220.00, calculated as (NAVPS prior to distribution - value of distribution) or ($2,272.00 - $52.00).

Consult these sources for further information. Go to the following sites for up-to-date examples of the tables.

Morningstar

Globefund

Reading Periodic Mutual Fund Performance Tables

In addition to the daily fund tables, you should be familiar with the monthly mutual fund performance tables published in many newspapers. These tables provide comprehensive rates of return for hundreds of mutual funds, along with a lot of other information, including the following:

- the NAVPS of each fund
- eligibility for registered plans
- whether sales charges are levied
- the name of the fund's sponsoring organization and sometimes its telephone numbers
- the percentage of foreign content in the fund's portfolios

- total assets of the fund
- simple returns for periods of less than one year
- average compound annual returns for periods of more than one year
- management expense ratios
- volatility measures

However, the methods used to indicate volatility vary from publication to publication.

Management Fees

Investors tend to overlook management fees because performance statistics are calculated after management fees have been deducted. However, while the 2% in management fees that might be spent to achieve returns of 20% may seem reasonable, the same 2% would not seem that reasonable if returns decreased to only 5%.

The management fees should reflect the level of effort required from the manager. If there are two funds with similar performance, but one has a lower management fee, it would be reasonable to choose the fund with the lower management expense ratio.

There has been no clear evidence suggesting that no-load funds do any better or any worse than loaded funds. This would suggest that, given two funds with similar performance, it would be reasonable to select the no-load fund over the loaded fund.

Finally, all other things being equal, the investor should consider the convenience features offered by the mutual fund including pre-authorized investment plans, redemption plans, readability of statements, etc.

The Mutual Fund Prospectus

The prospectus provides a wealth of information about a particular mutual fund, or in some cases about a family of funds. In accordance with National Instrument 81-101, the prospectus must disclose information about the fund including the following:

- the investment objectives of the fund
- a description of the securities offered (units for mutual trusts and shares for mutual corporations), as well as the rights associated with those securities (that is, voting rights, rights to receive dividends)
- all fees including front-end loads, redemption charges or deferred sales charges, trailer fees, and management fees
- minimum investment requirements
- the names of the fund's principal distributor, auditor, custodian, and transfer agent
- the tax status of the fund, including RRSP eligibility
- the general investment risks along with any additional ones created from the fund's particular investment strategy
- how to buy, sell, and exchange shares

A mutual fund must file its prospectus with the securities regulators in each of the provinces where the fund is sold. Clearance or acceptance of the prospectus does not mean that the securities regulators approve the mutual fund as a good investment. It simply means that the prospectus provides full, plain, and true disclosure (that is, all the information needed by an investor to make an informed decision).

The mutual fund prospectus must include a statement about the investor's statutory rights, which informs the investor of his or her rights to some or all of the following:

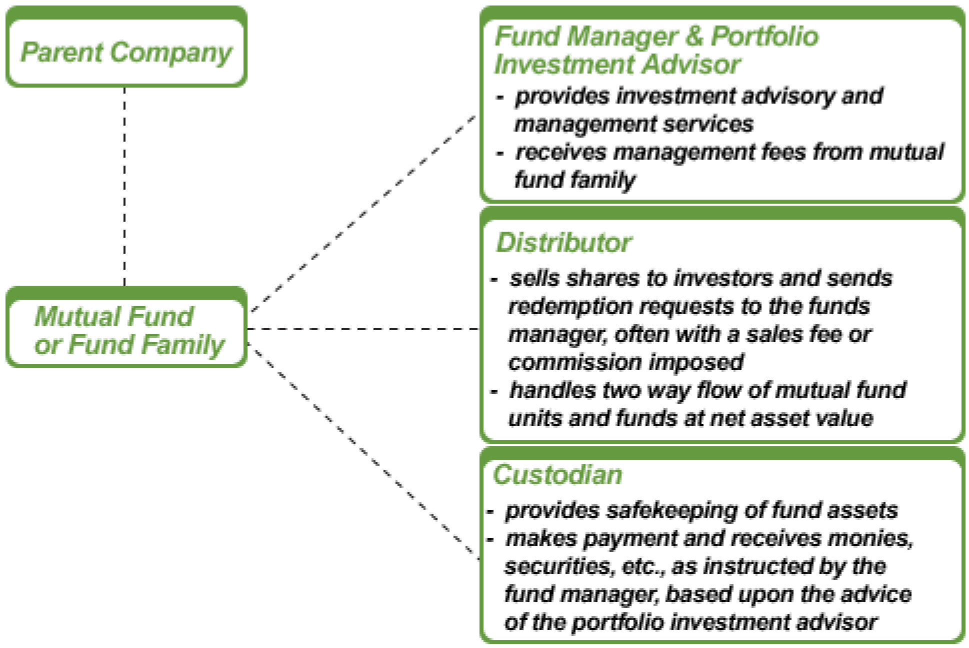
- receive an accurate and current prospectus
- cancel his or her order, for any reason, within two business days of having received the prospectus or within 48 hours of having received purchase confirmation from the mutual fund
- seek damages if he or she made a decision to purchase shares in the mutual fund and subsequently lost money, if he or she can demonstrate that he or she was misled by a false statement in the prospectus

Mutual Fund Structure and Oversight

Welcome to the lesson, Mutual Fund Structure and Oversight.

Organizational Structure of Mutual Funds

Mutual fund managers must carry out a number of functions in order to serve those who invest in the funds they manage. These functions include holding the securities, making investment decisions, dealing with purchases and redemptions, and keeping investors informed about the status of their investments. The organizations and individuals responsible for carrying out these functions make up what is referred to as a mutual fund complex. A typical fund complex includes the fund itself (that is, the portfolio of assets), the fund manager and portfolio advisor, a distributor, and a custodian, as discussed below. The relationship between the various components is shown schematically in this graph.



The Fund Itself

The mutual fund itself is legally distinct from the corporation that manages the fund. The mutual fund may be organized as either a trust or a corporation.

Mutual fund trusts

A mutual fund trust is created through a declaration of trust that is filed with the provincial securities regulators. The majority of mutual funds take this form. Under tax law, income earned by a mutual fund trust can be passed on directly to the investors without first being taxed in the hands of the trust and flows through preserving its nature for tax purposes.

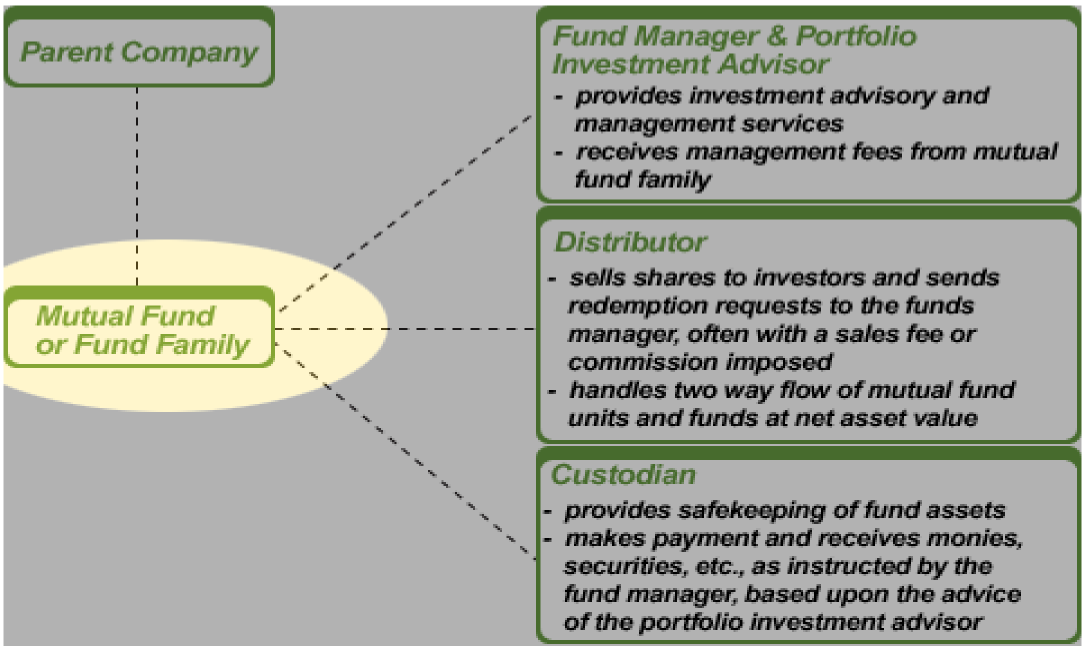
Mutual fund trusts issue units to unitholders, as opposed to the shares issued to shareholders of mutual fund corporations. Units simply refer to the type of ownership interest issued by a mutual fund trust. We will generally refer to shares when talking about ownership of a mutual fund, even though technically they may be units. These types of mutual funds are also referred to as unit trusts.

In addition to creating a legal entity, the declaration of trust provides for an initial appointment of one or more trustees, and it establishes a process for appointing subsequent trustees. Trustees may be individuals or corporations that have the power to act as a trustee. The trustees are responsible for the operation of the mutual fund and they may enter into contracts on behalf of the fund for any services required. Investors in a unit trust have little or no say in the appointment or election of trustees. However, unitholders must be consulted before any major changes in the structure of a fund can be made including increases to the fund's fee structure or changes in the fund's investment objectives.

Mutual fund corporations

At one time, all mutual funds were created as corporations. A mutual fund corporation can be formed under the Canada Business Corporations Act or similar provincial legislation. All types of income earned by a mutual fund corporation, including interest income, is first taxed as income to the fund and then it is taxed again when it enters the hands of the investor. However, all of the taxes paid by the fund are essentially recovered through refunds when the fund distributes its net income.

A mutual fund corporation is governed by a board of directors: a group of people elected by the shareholders at the fund's annual general meeting. The board is responsible for the overall operation of the mutual fund and may enter into contracts or employ staff on behalf of the fund for any services required. Like a unit trust, shareholders of a mutual fund corporation must be consulted before any major changes can be made to the structure of the fund.



The Fund Manager and Portfolio Investment Advisor

The fund manager

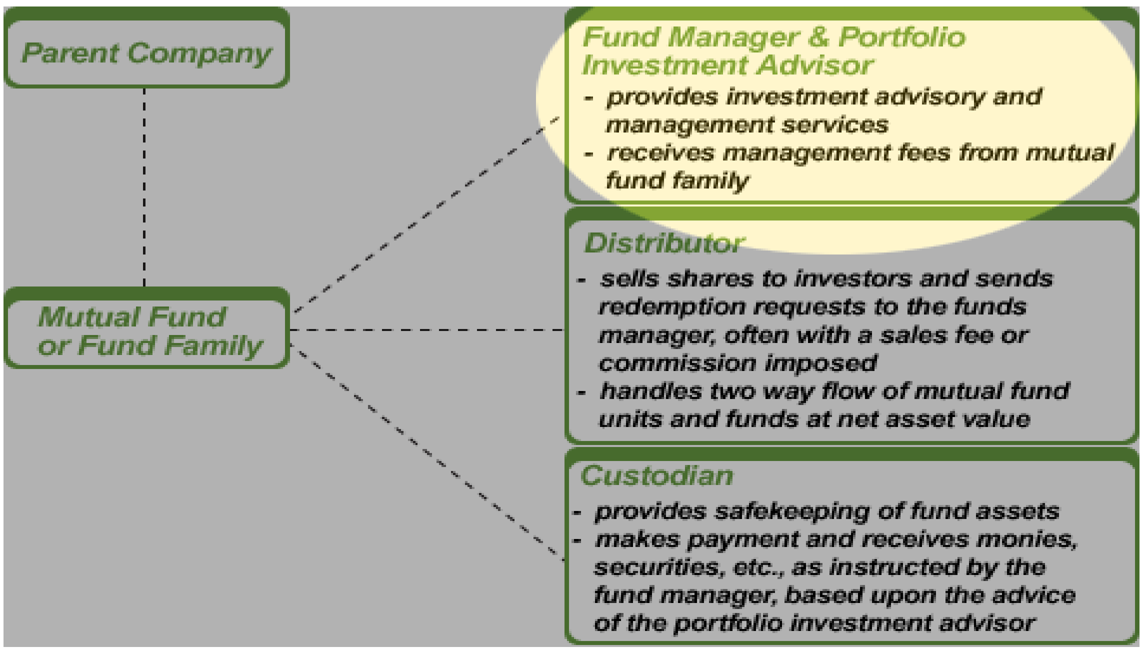
The mutual fund's trustees or directors are responsible for the overall management of the fund. However, they will usually opt to retain the services of a professional fund manager or fund management company, an entity that oversees all of the investment activities of the one or more mutual funds under its umbrella. The various funds managed under a single umbrella are often referred to as a mutual fund family. Some fund managers even oversee more than one family of funds.

The management company may be a wholly-owned subsidiary of another parent corporation. This is particularly common in the banking industry, as a separate entity is needed to sell mutual funds to the bank's customers. For example, TD Canada Trust offers mutual funds to its customers under the management umbrella of TD Asset Management. The distributor is distinct from the fund manager.

The fund manager is responsible for overseeing the general administration of the fund including hiring the portfolio investment advisor and organizing the distribution system. Individuals or companies outside of the management company often perform these functions on a contract basis.

Portfolio investment advisor

The management company is responsible for constructing and managing the portfolio of investments that make up the mutual fund. The management company may name one or more of its own employees as portfolio managers, or it may contract out these functions to another investment advisor.

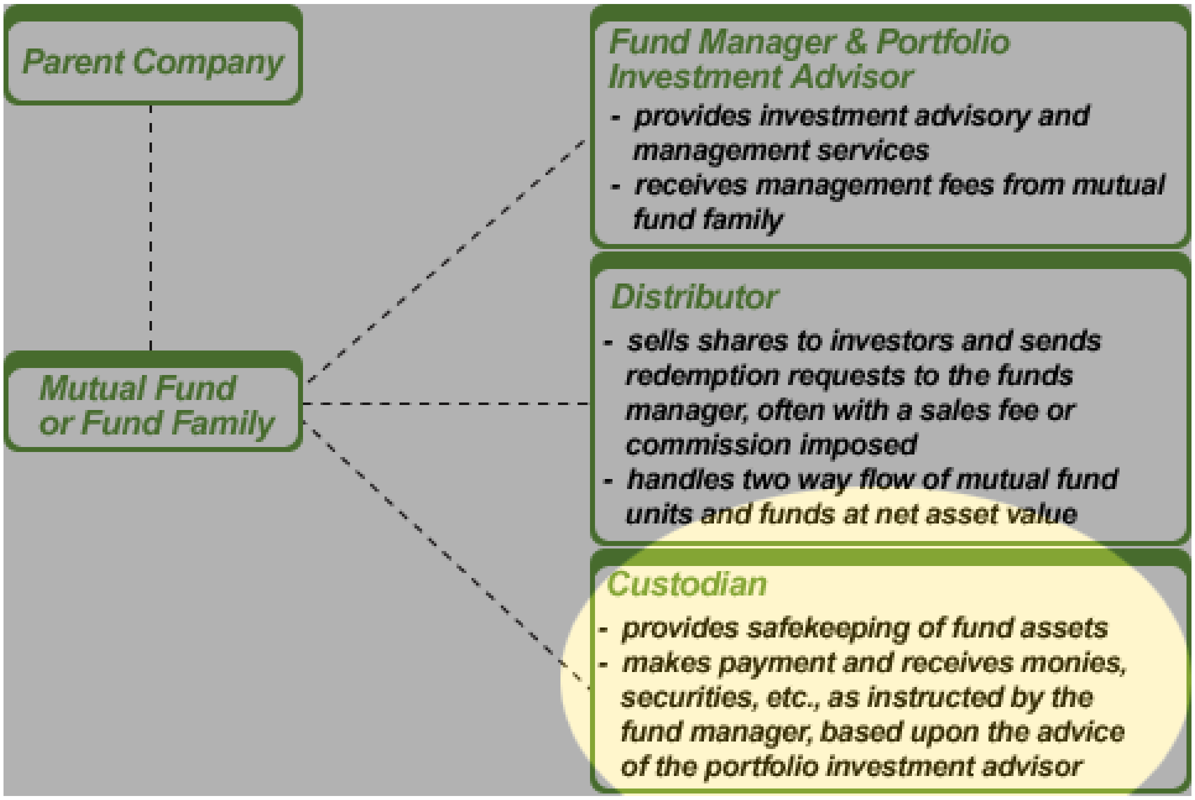


Custodian or Transfer Agent

Each mutual fund must have a designated custodian who is responsible for carrying out all financial transactions including the safekeeping of all securities in the portfolio and the disbursement and receipt of funds. The custodian must be a Canadian chartered bank or trust company.

For the protection of the investor, the function of custodian is always kept distinct and separate from the fund manager. If the management company were to go bankrupt, it would have no impact on the mutual fund investors because the fund manager does not have access to the securities that are held by the mutual fund. In situations where a bank or trust company sponsors the fund, the parent bank or trust company may act as the custodian.

The transfer agent is responsible for maintaining the records of current share or unit ownership, as well as records of all ownership transfers. In some cases, the management company may play the role of transfer agent. The custodian may also act as the mutual fund's transfer agent.

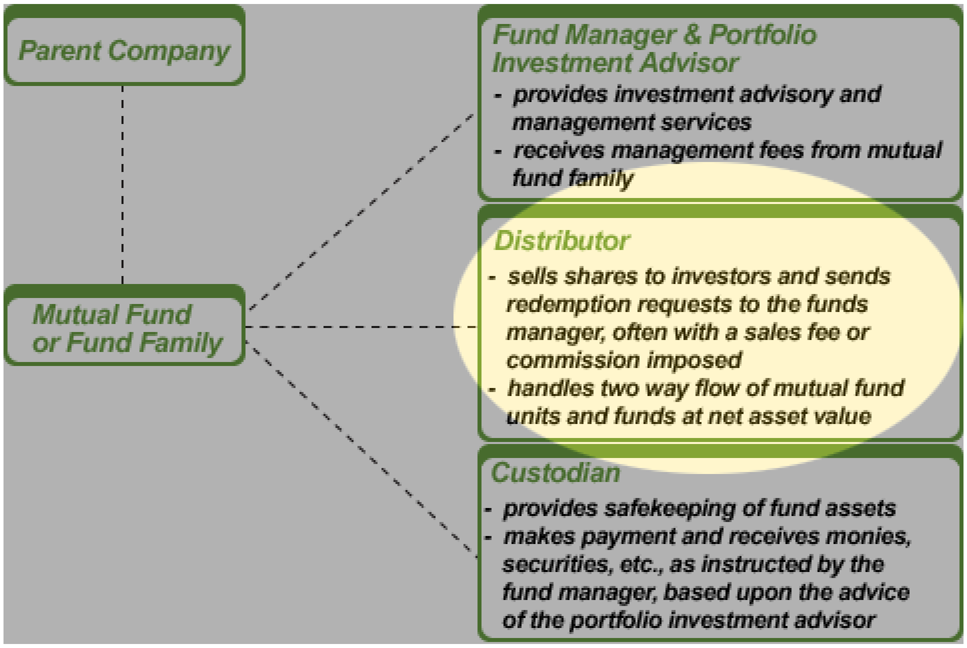


Distributor

The distributor provides a link between the mutual fund and the investing public.

In many cases, the distributor is the management company. For example, bank and trust company staff are often employed by the subsidiary to sell mutual funds. This is referred to as self-contained distribution.

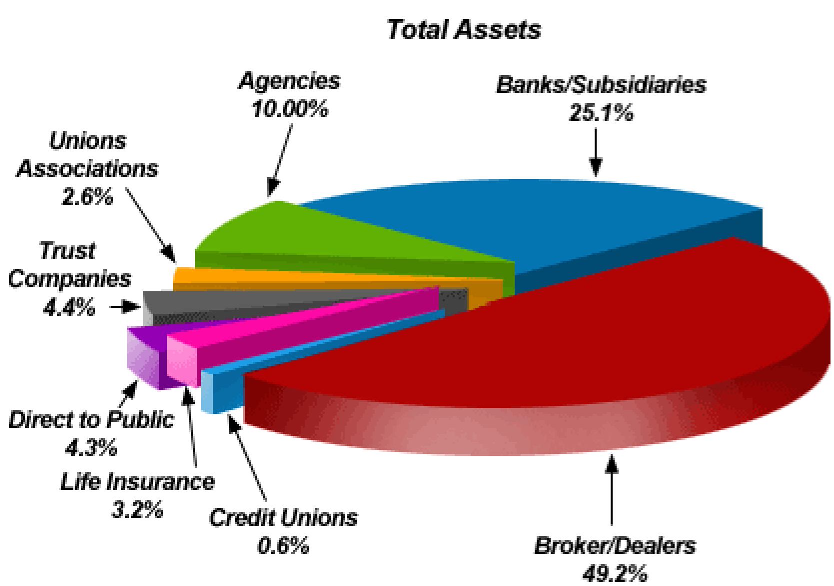
Some fund managers have their own telephone order-taking departments and this is referred to as direct distribution. Other companies have their own sales forces and sales locations. This is referred to as captive sales force distribution.



Not all management companies rely on their own distribution networks. Some funds can be purchased through a securities dealer or mutual fund dealer who may or may not be independent from the management company.

The distribution of mutual funds is structured as an agency whereby the salespeople are agents who represent the mutual fund in dealing with the investors.

This graph illustrates the market share of mutual fund assets by distribution channel.



Management Fees

The mutual fund usually pays the fund manager an annual fee, ranging from less than 0.5% to as much as 3% of the total fund assets. The percentage varies depending on the fund group and the type of fund. For example, money market and bond funds typically have lower management fees than equity or specialty funds.

Because the fees received by the fund manager are directly related to fund assets, the fund manager has an incentive to boost fund performance; if the assets in the fund increase, the management fee also increases.

In addition to paying for the services provided by the fund manager, the fund must pay for other expenses, including audit fees, legal and accounting fees, and fees for maintaining records and handling distributions. Once these fees are included, the total management fees are often as high as 3%.

Because the management fees are paid by the mutual fund, they are deducted before the fund reports its NAVPS and its rate of return. As a result, many investors tend to overlook the importance of management fees even though these fees can significantly affect their rate of return. If a fund earns a total return of 15%, then management fees of 3% do not seem unreasonable. However, if the total return declines to 6%, that same management fee of 3% reduces the return by 50%!

Example If a mutual fund earns a return of 9% but pays management fees of 3%, the return to investors will be only 6%. The return reported by the fund and listed in the financial media will therefore be 6%.

To help investors compare various mutual funds, all funds are required to disclose their management expense ratio for the past five years. The management expense ratio (MER) is a standard method of measuring the total management fees incurred by the fund, excluding brokerage fees paid by the fund and taxes on income earned by the fund, as a percentage of the fund's average net asset value during the year. The MER tends to range from less than 1% for money market funds to over 3% for equity funds.

Regulation of the Mutual Fund Industry

The mutual funds industry is governed in a number of different ways at the provincial, national, and industry levels. These include the following:

- Provincial Securities Acts
- National Instruments
- Canadian Investment Regulatory Organization (CIRO) - previously the Mutual Fund Dealers Association (MFDA)

The Canadian Deposit Insurance Corporation (CDIC) does not insure mutual funds.

Provincial Securities Acts

The provincial securities regulators in each province regulate the sale of securities (including mutual funds). There can be significant differences in the securities laws from province to province.

The securities acts and regulations are designed to protect the purchasers of all types of securities. The provincial securities acts do this by requiring the mutual funds to fully disclose all relevant information about the shares to the potential investor, usually through a prospectus which must be filed with the provincial securities regulator.

Approval by a provincial securities regulator does not mean that the fund is necessarily a good investment or that the regulator recommends it. It simply means that the fund has met the requirements for full disclosure.

National Instruments

The Canadian Securities Administrators (CSA) consists of the representatives of the provincial securities regulators who on occasion convene to consider matters of common concern. The CSA may develop and adopt policies and rules that are then followed uniformly throughout the country. The CSA has adopted a number of policies that deal specifically with mutual funds.

National Instrument 81-102 is a rule of the CSA that addresses the operational aspects of managing a mutual fund.

National Instrument 81-101 is a rule of the CSA that addresses the disclosure required in a prospectus for a mutual fund.

National Instrument 81-105 is a rule of the CSA that addresses sales practices for mutual funds.

Click here to go to the CSA Web site.

Canadian Investment Regulatory Organization (CIRO)

Effective January 1, 2023, the Investment Industry Regulatory Organization of Canada (IIROC) and the Mutual Fund Dealers Association of Canada (MFDA) amalgamated to become the Canadian Investment Regulatory Organization (CIRO).

As mentioned earlier in the course, The CIRO is the self-regulatory organization for the distribution side of the Canadian mutual funds industry. Its main goal is continued and enhanced protection for Canadian investors. It is responsible for regulating all sales of mutual fund securities by its members in Canada.

The CIRO is empowered by securities regulators in each of the enumerated jurisdictions to:

- admit members
- perform compliance reviews
- enforce rules through a transparent disciplinary process that can result in fines, suspension, or termination of membership

Suspension or termination of CIRO membership means the suspended or terminated dealer firm cannot engage in trading in mutual fund securities.

The Investment Funds Institute of Canada (IFIC)

The Investment Funds Institute of Canada (IFIC) was first established in 1962 for the purpose of establishing professional standards for those involved in the mutual funds industry. Membership is restricted to mutual fund companies, managers and distributors, as well as to affiliates who provide services to the mutual fund industry. Over 75% of mutual fund companies by assets are now members of IFIC.

THE INVESTMENT FUNDS INSTITUTE OF CANADA | L'INSTITUT DES FONDS D'INVESTISSEMENT DU CANADA

IFIC publishes a number of FAQs and guidelines that may be of assistance to readers, as they specifically address co-op advertisements and sales communications. Go to IFIC's Web site to view the Sales Practices Frequently Asked Questions.

IFIC also provides training for mutual fund distributors and sales personnel through the Canadian

Types of Mutual Funds

Welcome to the lesson, Types of Mutual Funds.

investment Funds Course and the Canadian Investment Funds Operations Course.

Regulations and Shareholder Protection

The Canadian Investment Funds Standards Committee (CIFSC) was formed in January 1998 by Canada's major mutual fund database and research firms with a self-imposed mandate to standardize the classifications of Canadian-domiciled mutual funds.

This table includes a list of the fund categories developed by the CIFSC. These categories are designed to be broad-based, objectively monitored fund classifications and fit the universe of funds sold in Canada.

Fund Category
Alternative Strategies
Asia ex-Japan Equity
Asia/Pacific Rim Equity
Canadian Tactical Asset Allocation
Canadian Balanced
Canadian Balanced-Equity Focused
Canadian Balanced-Fixed Income Focused
Canadian Bond
Canadian Dividend and Equity Income
Canadian Equity
Canadian Equity (Pure)
Canadian Focus Equity
Canadian Income Balanced

Canadian Income Trust
Canadian Money Market
Canadian Mortgage
Canadian Short-term Bond and Mortgage
Canadian Small-cap Equity
Emerging Markets Equity
European Equity
Financial Services
Foreign Bond
Global Balanced
Global Balanced-Equity Focus
Global Equity
Healthcare
High Yield Bond
International Equity
Japanese Equity
Labour-sponsored Venture *Capital*
Natural Resources
North American Equity
Precious Metals
Real Estate
Science and Technology
Specialty or Miscellaneous
U.S. Equity
U.S. Money Market
U.S. Small-cap and Mid-cap Equity

The following link is a list of the fund categories developed by the CIFSC. These categories are designed to be broad-based, objectively monitored fund classifications and fit the universe of funds sold in Canada.

https://www.cifsc.org/wp-content/uploads/2021/12/CIFSC-2021-Category-Definitions.pdf

Have a look at this job aid, which provides a comparison of the most common funds. It will help you as you continue this lesson, as well as on the job.

Job Aid

Money Market Funds

Money market funds (MMF) carry the lowest risk of all mutual funds. The overriding goal of a money market fund is to produce income for the investor without risking his or her capital. At least 95% of the fund's total net assets must be invested in cash or cash equivalents. Money market funds may only invest in short-term securities, which might include treasury-bills, bank certificates of deposit and government bonds.

The NAVPS of a money market fund is managed to maintain a fixed price per share of $10. Income generated by the fund is credited to the investor on a regular basis as additional shares and is directly tied to the interest yield of the investments. As the interest rate rises, the yield rises and the investor receives a higher income. If interest rates drop, the yield also drops and the investor will realize a lower return.

Funds in this category must be designated as Money Market funds in accordance with National Instrument 81-102.

Some money market funds specialize in foreign or U.S. short-term securities.

Canadian money market

At least 95% of the assets invested in cash equivalents or securities denominated in Canadian dollars.

Canadian money market funds are subject to the following requirements in accordance with NI 81-102:

- assets in the fund must be managed so as to maintain a fixed net asset value
- all of its assets invested in cash equivalents or debt obligations with a maturity date not to exceed 12 months
- a portfolio with a dollar-weighted average term to maturity not to exceed 90 days
- at least 95% of the sets invested in cash equivalents or securities denominated in the same currency as the shares or units of the fund
- at least 95% of its assets invested in cash equivalents or debt obligations must have a credit rating of at least A1 for commercial paper and A for debt securities

U.S. money market

At least 95% of the assets invested in cash equivalents or securities denominated in U.S. dollars.

Fixed Income Funds

Fixed income funds have a common goal of generating steady income for their shareholders while maintaining the safety of the principal. This is usually done with a portfolio that contains a high proportion of high quality government bonds and corporate debt securities. The total return from the fund consists of a combination of interest income generated by the investments and the capital gains or losses arising from changes in bond prices. Some of the portfolios are maintained with an average term to maturity of three years or less, whereas other portfolios would have a term to maturity greater than three years.

The movement in bond prices is directly related to the bond's maturity date and inversely to the change in current interest rates. As interest rates go down, the bonds' value goes up and vice versa. While the NAVPS of a bond fund is relatively stable in comparison to some other types of mutual funds, the NAVPS of a bond fund will increase as interest rates decline and decrease as interest rates climb. Bond fund managers will usually attempt to limit the volatility of the fund related to changing interest rates by changing the maturity terms of bonds held in the fund.

Funds in this category must have at least 95% of the funds invested in fixed income securities.

The following are general categories of fixed-income funds:

- Canadian Short Term Fixed Income
- Canadian Fixed Income
- Canadian Corporate Fixed Income
- Canadian Long Term Fixed Income
- Canadian Inflation Protected Fixed Income
- Global Fixed Income
- Global Corporate Fixed Income
- High Yield Fixed Income
- Preferred Share Fixed Income
- Floating Rate Loan
- Emerging Markets Fixed Income

- Balanced Funds and Target Date Funds
- Balanced funds attempt to achieve a balance between safety, income, and equities. A balanced fund portfolio may include fixed income securities for stability and income, plus diverse holdings of common shares for dividend income and capital appreciation. The prospectus of a balanced fund may specify both minimum and maximum holdings in each asset class. If so, these specifications are typically in the range of 35% to 65% in any one-asset class.
- Some balanced funds, called asset allocation funds, do not place any restrictions whatsoever on the fund manager concerning asset classes. While asset allocation funds strive to achieve a balance between safety, income, and capital gains, the fund manager has greater freedom to choose the mix of assets that best achieves the objectives of the fund.
- Funds in this group must invest between 10% and 95% of non-cash in fixed income and 5% and 90% in equities.
- The following are categories of balanced funds:
- <u>Canadian Equity Balanced</u>
- Invests at least 70% in a mix of Canadian equities and fixed income securities denominated in Canadian dollars.
- Must also invest 60% or greater and less than or equal to 90% in equities.
- <u>Canadian Neutral Balanced</u>
- Invests at least 70% in a mix of Canadian equities and fixed income securities denominated in Canadian dollars.
- Must also invest 40% or greater and less than or equal to 60% in equities.
- <u>Canadian Fixed Income Balanced</u>
- Invests at least 70% in a mix of Canadian equities and fixed income securities denominated in Canadian dollars.
- Must also invest 5% or greater and less than or equal to 40% in equities.
- <u>Global Equity Balanced</u>
- Invests less than 70% in a mix of Canadian equities and fixed income securities denominated in Canadian dollars.
- We must also invest 60% or greater and less than or equal to 90% in equities.
- <u>Global Neutral Balanced</u>
- Invests less than 70% in a mix of Canadian equities and fixed income securities denominated in Canadian dollars.
- We must also invest 40% or greater and less than or equal to 60% in equities.
- <u>Global Fixed Income Balanced</u>

- Invests less than 70% in a mix of Canadian equities and fixed income securities denominated in Canadian dollars.
- Must also invest 5% or greater and less than or equal to 40% in equities.
- Tactical Balanced
- Has an adjustable asset allocation policy which ranges from 40% or less to 60% or more in either equities or fixed income securities.
- Target Date Funds
- These funds align with the criteria for Balanced funds, but they have pre-determined maturity dates. They have a mandate to adjust their target asset allocation over time as they reach their maturity dates.
- Once they reach their maturity date, the fund will be moved to the applicable Fixed Income or Balanced fund category.

Common Stock or Equity Funds

The most popular form of mutual fund in terms of total assets is the common stock fund, growth fund, or equity fund. The primary objective of an equity fund is wealth accumulation through long-term capital growth, achieved primarily through investments in common shares of publicly-traded companies. Their emphasis on growth makes them a risky type of fund. Recall that a common share is a class of stock that represents ownership or equity in a company.

In general, the NAVPS of an equity fund tends to be more volatile than other types of funds because common shares themselves tend to be more volatile than other types of securities. Their volatility makes them unsuitable investments for individuals who would need their money within a short period of time. In order to maintain some liquidity, most equity funds hold a small amount of fixed-income securities, such as treasury bills.

Historically, equity funds have provided higher returns to investors than other types of funds. Their performance has mirrored the ups and downs of the overall equity markets. However, the higher risk has been greatly rewarded by the higher returns.

Equity funds may hold a very diverse portfolio of stocks that include many industry sectors, or they may specialize to varying degrees, perhaps in terms of geography or industrial sector. Some equity funds can be regarded as conservative because they invest primarily in large stable blue-chip companies, thereby sacrificing growth for more stable performance. Other funds can move right across the risk spectrum and become very specialized by concentrating the investments in their portfolio to specific geographic regions or one particular industry. The share prices of these funds are volatile, sometimes dropping precipitously in one year only to soar phenomenally in another.

Growth or value?

A growth portfolio would hold common shares of companies with market share, sales, and earnings that are increasing faster than the general economy or faster than companies in the same industries. A value portfolio would hold common shares of companies that are undervalued, in the opinion of the portfolio manager, compared to shares of other companies.

Index funds

Index funds are designed to mirror the performance of a Canadian, U.S., or international index. These funds invest in a basket of stocks that mirrors the industry sector that make up the index whose performance they are trying to replicate. Only stocks contained in the index are included in the fund's portfolio and it is weighted, by industry sector and individual stock in the same manner as the index. Matching the performance of an index is a passive investment strategy with little portfolio turnover. Equity funds presently distributed in Canada can be broadly classified into the following categories: Canadian Equity Funds, U.S. Equity Funds, International and Global Equity Funds or Specialty Equity Funds.

The following is a table which outlines the various CIFSC categories that fall under each broad category.

Equity Fund Categories	Specific Funds
Canadian Equity Funds	Canadian Dividend & Income Equity Canadian Equity Canadian Small/Mid Cap Equity Canadian Focused Equity Canadian Focused Small/Mid Cap Equity
U.S. Equity Funds	U.S. Equity U.S. Small/Mid Cap Equity North American Equity
International and Global Equity Funds	Asia Pacific Equity Asia Pacific ex-Japan Equity Greater China Equity European Equity Emerging Markets Equity Global Equity Global Infrastructure Equity Global Small/Mid Cap Equity International Equity
Sector Funds	Science and Technology Financial Services Equity Precious Metals Equity Natural Resources Equity Real Estate Equity Energy Equity Geographic Equity Sector Equity

Commodity, Specialty and Miscellaneous Equity Funds	Commodity Retail Venture Capital Passive Inverse/Leveraged Miscellaneous Miscellaneous - Income & Real Property Miscellaneous - Other Miscellaneous - Undisclosed Holdings

Canadian Equity

Canadian equity funds invest primarily in common shares of publicly-traded Canadian corporations (principally TSX listed companies).

The following are in the Canadian Equity fund category.

Canadian Equity

- A minimum of 90% of funds invested must be in equity holdings domiciled in Canada
- Average market capitalization must be greater than the Canadian small/mid cap threshold

Canadian Small/Mid Cap Equity

- A minimum of 90% of funds invested must be in equity holdings domiciled in Canada
- Average market capitalization must be lower than the Canadian small/mid cap threshold

Canadian Focused Equity

- Invests between 50% and 90% of funds in equity holdings domiciled in Canada
- Average market capitalization must be greater than the Canadian small/mid cap threshold

Canadian Focused Small/Mid Cap Equity

- Invests between 50% and 90% of funds in equity holdings domiciled in Canada
- Average market capitalization must be greater than the Canadian small/mid cap threshold

U.S. Equity Funds

U.S. equity funds invest primarily in common shares of publicly-traded U.S.corporations.

The following are in the U.S. Equity fund category.

U.S. Equity

- A minimum of 90% of funds invested must be in equity holdings domiciled in the U.S.
- Average market capitalization must be greater than the U.S. small/mid cap threshold

U.S. Small/Mid Cap Equity

- A minimum of 90% of funds invested must be in equity holdings domiciled in the U.S.
- Average market capitalization must be within the U.S. small/mid cap threshold

North America Equity

- A minimum of 90% of funds invested must be in equity holdings domiciled in Canada and/or the U.S. However, less than 50% of equity holdings can be domiciled in Canada
- Excludes any fund that meets requirements of the other U.S. Equity categories

Commodity and Specialty Equity

Commodity Funds

These funds invest mainly in physical commodities or use derivatives for exposure to commodities. The exposure to commodities must be long and cannot be leveraged to exceed 100%.

Specialty Funds

Sector funds or specialty funds invest primarily in a specific industrial sector, such as technology, precious metals, natural resources, real estate, or health sciences. Because of their limited diversity and sometimes because of the nature of the investments themselves, specialty funds carry greater risk than other equity funds. Specialty funds may provide the opportunity for very large gains, but they also carry the risk of very large losses.

The following are categories of specialty funds:

Retail Venture Capital

- This category includes Labour sponsored Investment Funds (LSIFs) and other similar funds that receive special federal and provincial tax benefits.

Passive Inverse/Leveraged

- Funds in this category use a passive investment strategy too:
- Gain more than 100% exposure to an index or asset class
- Gain inverse exposure to an index or asset class

Alternative Funds

Alternative strategy funds include specialty funds that use alternative strategies such as short selling, leveraging, program trading, swaps, and arbitrage. They are also referred to as hedge funds. An alternative strategy fund does not have to employ all of these tools at the same time, but it must have these tools at its disposal. The funds may employ both speculative strategies and hedging strategies.

The following are categories of alternative funds:

Alternative Equity Focused

- At least 50% of portfolio is invested in equities

Alternative Credit Focused

- At least 50% of portfolio is invested in fixed income or credit related products

Alternative Multi-Strategy

- Have a stated mandate to use any alternative strategies found in other alternative categories

Alternative Market Neutral

- Aims to reduce market exposure by matching long and short positions
- Tries to have low correlation and/or low beta relative to markets.

Alternative Private Equity

- Includes mostly private credit investments
- Can be global or with a specific region or sector focus

Alternative Other

- Implements strategies that do not fall into any other alternative category

- Commodity
- These funds invest mainly in physical commodities or use derivatives for exposure to commodities. The exposure to commodities must be long and cannot be leveraged to exceed 100%.

Specialty

Sector funds or specialty funds invest primarily in a specific industrial sector, such as technology, precious metals, natural resources, real estate, or health sciences. Because of their limited diversity and sometimes because of the nature of the investments themselves, specialty funds carry greater risk than other equity funds. Specialty funds may provide the opportunity for very large gains, but they also carry the risk of very large losses.

The following are categories of specialty funds:

Retail Venture Capital

This category includes Labour sponsored Investment Funds (LSIFs) and other similar funds that receive special federal and provincial tax benefits.

Passive Inverse/Leveraged

Funds in this category use a passive investment strategy to either:

- Gain more than 100% exposure to an index or asset class
- Gain inverse exposure to an index or asset class

Miscellaneous

Miscellaneous funds are those funds that do not fit into any of the other defined fund category criteria, and lack a sufficient number of peers to warrant a new category. This is considered a residual category.

Miscellaneous - Income & Real Property

- Focuses on fixed income securities and doesn't align with the other fixed income fund categories.
- May use real property as a substitute for fixed income securities.

Miscellaneous - Other

Funds with a unique strategy that does not align with any other category.

Miscellaneous - Undisclosed Holdings

Funds in this category have not provided data on their holdings to CIFSC data providers.

The Element of Risk

Risk can be defined as the possibility of losing money. Each type of asset class faces different types of risk. This table provides a definition for each of those risks.

Type of Risk	Definition
Capital	The risk that the invested sum could lose value.
Default	The possibility that a debt security would lose its value should the issuer not live up to an obligation of paying interest and return of principal.
Financial	The chance that a lack of profitability of a company could cause its shares to lose value.
Foreign exchange	The risk that the currency of the country in which security is invested will increase in value relative to the domestic currency.
Inflation	Higher prices cause a loss in the purchasing power of an investment.
Interest rate	The risk that rising interest rates will cause a decline in the value of fixed income security.
Liquidity	The inability to convert the value of a security into cash within a short period of time.
Market or Systematic	The risk that investments in a particular market could lose value from the general movements in the market.
Prepayment	It pertains to the risk that an issuer could redeem a bond, debenture, or any fixed income security, prior to maturity, thus causing a loss of interest income to the owner. Pre-mature redemption also exposes the investor to reinvestment risk.

Reinvestment	The risk that an investor would not be able to reinvest maturing funds or income at a favorable rate.

Unique Risk

Specialty funds invest in specific industry sectors or by geographical regions, and in doing so incur a higher risk than more broadly diversified funds. Unique risk is the risk that results from a mutual fund investing in a very narrow segment of the market.

Specialty funds invest in equities that are specific to a sector or geographic region and as a result take on the unsystematic risk of both the sector and the individual stock. Diversification is limited only to securities that are specific to the target market. As a result, the performance of these funds can run counter to the broad market as a whole. They are generally the riskiest of all mutual funds.

This table illustrates the extreme return a specialty fund can experience from its increased unique risk, relative to a broad market.

Calendar Year	Stock Index Return (%)	ABC Gold Fund Return (%)	XYZ Gold Fund Return (%)
Year 1	19.7	4.31	26.58
Year 2	16.9	57.47	23.75
Year 3	10.8	-48.18	-41.25
Year 4	-4.3	-28.17	-23.56

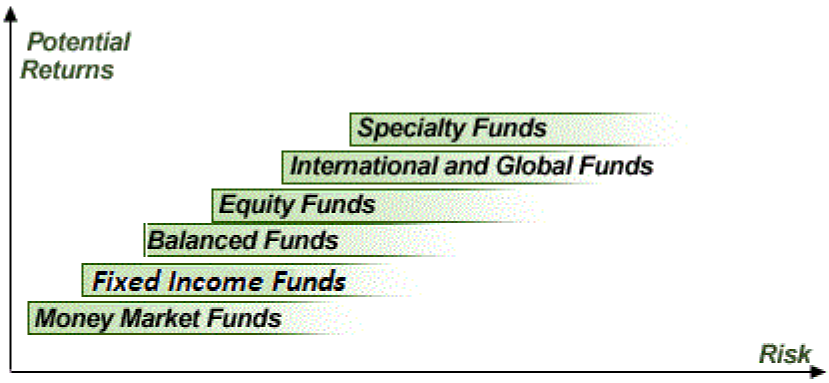
Risk and Return Characteristics of Mutual Funds

You can define risk as the volatility of investment return over time. Volatility refers to the degree of fluctuation in investment returns from year to year. Ideally, the potential returns from a mutual fund should correlate with the degree of risk involved.

Example Money market funds tend to be classified as low risk because their annual returns typically are low and the returns are fairly stable from year to year. The volatility or risk is relatively low and the returns are correspondingly solid, but not exciting.

In contrast, the returns experienced by bond funds fluctuate more widely, often between -5% and 15%. The risk is higher, but so is the potential return. The annual returns from equity funds may vary even more dramatically, often from as low as -30% to as high as 30%. Again, as the volatility increases, the potential for greater returns and losses also increases. Investors in highly volatile funds should be prepared for the possibility of losing money, particularly in the short term.

This graph shows the risk and returns of various mutual funds.



Mutual Funds and Taxation

Welcome to the lesson, Mutual Funds and Taxation.

Tax Considerations

Mutual funds can generate taxable income in one of two ways:

- through the distribution of income including interest income, foreign income, dividends, and net capital gains that are realized by the fund itself and have to be distributed to the investors each year
- through any capital gain or capital loss realized when the investor redeems his fund shares

The tax treatment of the income distributed from a mutual fund depends on whether that mutual fund is held within an RRSP or other registered plan, and whether the fund is organized as a mutual fund corporation or as a mutual fund trust.

Are the Funds Held Within an RRSP or RRIF?

Many mutual funds are eligible investments for RRSPs and other registered plans. Any investment income realized is sheltered from tax until it is withdrawn from the RRSP or RRIF. All investment income including dividends and capital gains is fully taxable as income when it is ultimately withdrawn from the plan. This means that there is no opportunity to claim the dividend tax credit, or to have only 50% of a capital gain subject to taxation.

If the mutual funds are not held within an RRSP, the interest, dividends, and capital gains distributed by the fund are taxable income, even if the investor chooses to have these amounts reinvested in the fund at the time of distribution. This income is taxed at the shareholder's personal rate in the year the income is received, subject to the dividend tax credit and preferential treatment of capital gains.

Trust vs. Corporation

Some mutual funds are established as corporations under the Canada Business Corporations Act or similar provincial legislation, while others are established through a declaration of trust. Each structure (that is, corporation versus trust) is subject to a different tax treatment. Because most mutual funds selling shares to the public are organized as mutual fund trusts, the implications of taxation for these funds are discussed first.

Mutual Fund Trusts

According to the Income Tax Act (Canada), a mutual fund trust must meet the following criteria:

- it must be resident in Canada
- its only undertaking must be to invest the trust's funds
- it must have no fewer than 150 beneficiaries, each of whom owns a minimum of one block of shares having a fair market value of at least $500

A mutual fund trust effectively serves as a conduit that earns investment income on behalf of shareholders. Under normal circumstances, the fund itself will not incur any income tax liability on the income and capital gains it realizes. Instead, the income flows through to the investors and they pay taxes on their returns from the fund in the same way as they would had they invested directly in the securities held by the fund. This applies regardless of how investors are paid the income - in cash or reinvested shares.

The basic taxation principles that apply to trusts are similar to those that apply to individuals. However, for tax purposes mutual fund trusts are entitled to deduct distributions to shareholders from their taxable income. As long as the fund's net income and net realized capital gains are distributed to the shareholders, the trust itself will eliminate all taxable income and have no tax liability. Any amount that is not distributed during the calendar year will be taxed in the hands of the trust, just as it would be taxed in the hands of an individual. The declarations of trust that govern most mutual funds require the fund to distribute all net income and net realized capital gains to shareholders.

Once a mutual fund trust has distributed its income and realized capital gains, the investors must include these amounts in their taxable income for the year. As long as the fund makes the appropriate designations in its yearly income tax return, the types of income and capital gains distributed to investors will be taxed as though they were earned directly by investors. This is important, because the different types of return are taxed differently.

The income earned by a mutual fund trust - and subsequently passed along to investors - consists of one or more of the following:

- dividends from taxable Canadian corporations
- interest income
- foreign income
- net capital gains

How the Different Types of Income are Taxed

The taxation of the various types of investment income can be summarized as follows:

- Dividends from taxable Canadian corporations are eligible for the dividend gross-up, and federal and provincial dividend tax credits.
- Interest income and others dividends are fully taxed at the investor's marginal tax rate.

Foreign income generally consists of dividends from foreign corporations and interest from foreign sources. Both are fully taxable. Foreign income is often subject to withholding taxes levied by the country in which the income originates. However, the full amount of these earnings must be reported on a Canadian tax return.

Example $100 of income from the U.S. would be subject to $15 of withholding tax, leaving $85 in the hands of the Canadian recipient. While the full $100 must be included in income for tax purposes, each shareholder is entitled to claim an offsetting foreign tax credit or deduction for taxes paid to a foreign government by a mutual fund. Thus, the taxpayer could claim a foreign tax credit of $15.

When an investor receives a portion of net capital gains realized by the fund through distributions by the fund, these amounts are taxable. The taxable capital gain is 50% of the capital gain. Net capital losses realized by a fund are not distributed, but may be carried forward indefinitely for the trust to deduct against future capital gains.

Realized Capital Gains versus

A mutual fund will have realized capital gains or losses when it sells securities. The capital gain will be the excess of the proceeds of sale over the adjusted cost base less any costs of disposal. However, the mutual fund may also have capital appreciation or unrealized capital gains to the extent that securities have increased in value, but have not been sold. These gains are not taxable until realized, which is when the securities are sold.

So, mutual funds offer a tax deferral to the investor to the extent that capital appreciation has occurred, capital gains have not been realized, and personal income taxes have not become payable.

The mutual fund owns the underlying securities, which are capital properties. However, the investor also owns a capital property: the mutual fund shares. They have an adjusted cost base to the investor and the investor can realize capital gains and losses, independently of the realized capital gains and losses realized by the mutual fund.

Example: Capital Gains through Redemptions

For example, on January 3, last year, Mary invested $10,000 in Fund XYZ at an NAVPS of $13. She paid a front-end commission of 3%. With mutual funds, the investment is used to pay for fund units as well as the sales charge.

Round your answers to two decimal places

Step 1: Calculate the purchase price per unit

$$\text{Purchase price per unit} = \frac{\text{NAVPS}}{1 - \text{sales charge}}$$

$$= \frac{\$13}{1 - 0.03}$$

$= \$13.40$ per unit

Step 2: Calculate the number of units purchased

$$\text{Number of Units purchased} = \frac{\text{gross investment}}{\text{purchase price per unit}}$$

$$= \frac{\$10,000}{\$13.40}$$

$$= 746.27 \text{ units}$$

In December last year, Fund XYZ was trading at \$16 when it declared a distribution of \$2 per unit. The fund price subsequently dropped to \$14, calculated as (\$16 - \$2).

Step 1: Calculate Mary's mutual fund distribution. How much did Mary receive from the distribution?

Distribution = distribution per unit x units = \$2 per unit x 746.27 units

= \$1,492.54

Step 2: Calculate the number of units Mary owns and her ACB if she reinvested her distribution.

$$\text{New units} = \frac{\text{distribution}}{\text{NAVPS}}$$

$$= \frac{\$1,492.54}{\$14/\text{unit}}$$

$$= 106.61 \text{ units}$$

She now has a total of 852.88 units, calculated as (746.27 units + 106.61 units).

$$\text{New ACB per unit} = \frac{\text{investment amount plus expenses + distribution}}{\text{total units}}$$

$$= \frac{\$10{,}000 + \$1{,}492.54}{852.88 \text{ units}}$$

$$= \$13.47 \text{ per unit}$$

In June of this year, Mary redeems 500 units at a price of $15.

Step 1: Calculate Mary's capital gain (or loss).

To calculate a capital gain we need two pieces of information: the adjusted cost base and the fair market value or proceeds of disposition.

Fair market value = NAVPS x units sold
= $15 per unit x 500 units
= $7,500

Adjusted cost base = ACB per unit x units sold
= $13.47 per unit x 500 units
= $6,735

To calculate Mary's capital gain (or loss), we need to use the following formula:

Capital gain (loss) = fair market value - adjusted cost base
= $7,500 - $6,735
= $765

In order to calculate Mary's taxable capital gain, we use the following formula:

Taxable capital gain = capital gain x inclusion rate
= $765 x 50%
= $382.50

Therefore, Mary will pay tax on $382.50 at her marginal tax rate.

Note: You may want to use the following table to help you calculate ACB per unit.

transaction	cost ($)	units	ACB ($/unit)
purchase	10,000.00	746.27	13.40
distribution	1,492.54	106.61	
	11,492.54	852.88	13.47
redemption	(6,735.00)	(500.00)	
	4,757.54	352.88	13.47

The Capital Gains Refund Mechanism

Mutual funds don't pay tax directly. They are known as "flow-through" entities that distribute all of their taxable income to investors. This avoids paying taxes at the trust level, which is the highest marginal rate.

When an investor redeems mutual fund units, he or she realizes a capital gain equal to the difference between the market value of the units at the time of redemption and the adjusted cost base of the shares. The capital gain is subject to tax.

However, the market value for the fund units may be attributable to an increase in value of the underlying investments held in the funds. Because the value of the underlying investments rises, so does the NAVPS, allowing the unitholder to sell his or her units for a profit. The fund itself has not yet sold the underlying investments. Thus the increase in the NAVPS of the fund is due to the unrealized capital gains of the investments held by the fund. Once the fund eventually sells these securities and realizes the capital gains, the capital gains flow through to unitholders as distributions. The unitholders must then pay tax on the capital gains distributions. This means that tax is paid twice on these gains: first by the unitholder who redeems the units for a profit and then by the unitholders who share in the realized gains through a distribution by the fund.

The capital gains refund mechanism allows the fund to offset a portion of its realized gains in the year. It may retain the capital gains (instead of having them flow through to investors) and obtain a refund of the tax that it would otherwise have to pay. Mutual funds use a formula set out in the Income Tax Act to calculate how much of a mutual fund's realized capital gains may be kept in the fund (i.e., not distributed) without attracting tax, and the optimal amount of capital gains to distribute to shareholders.

Example In our previous example, Sam paid $62.50 of income tax on capital gains from which he never benefited. He will receive a little comfort from knowing that the capital gains refund mechanism provides some relief, but he will not get his $62.50 back.

When Distributions Exceed Income and Capital Gains

On a few occasions, a fund may make distributions to shareholders that are greater than the amount of income and capital gains earned by the fund in that year. In this case, the amount of any distributions in excess of income and capital gains are considered a return of capital to investors. They are also called capital dividends. Any such amounts will be reflected on the investor's monthly or quarterly statement, but will not be recorded on the T3 slip issued by the fund.

Unlike other distributions, this amount will not be taxable upon receipt. Instead, this amount will reduce the adjusted cost base of the units owned. This will increase the shareholder's capital gain, or reduce a capital loss, when the units are redeemed. If the excess distributions reduce a shareholder's adjusted cost base (ACB) to a negative amount, he or she will be deemed to have realized a capital gain for tax purposes in the amount of the negative ACB.

Example Paul paid $10,000 to purchase 1,000 units of High Income Fund at a price of $10.00 per unit. At the end of the year, the fund paid a distribution of $0.60 per unit for a total amount of $600, calculated as ($0.60 x 1,000). The distribution per unit consisted of $0.24 in dividends from taxable Canadian corporations, $0.30 as interest income, and $0.06 as a return of capital. The return of capital reduced the adjusted cost base of Paul's fund by $0.06 per unit, to $9.94. When the fund is sold, the lower cost base would increase the amount of the capital gain by $0.06 per unit.

Tax Receipts for Mutual Fund Trusts

Each mutual fund trust must designate the income passed along to investors according to the type of income earned by the fund's investments. For example, if the fund realizes a net capital gain from the sale of securities that income must be designated as a net capital gain in the hands of the shareholder.

Shareholders are informed of the amounts of each type of income received through T3 income tax slips that must be mailed out by mutual funds on or before March 31st of each year. Canadian residents must then report the income in their annual income tax returns. The information on the T3 includes the following:

- the taxable amount of the dividend including any dividend gross-up
- the federal dividend tax credit
- interest income is classified as other income
- interest and dividends paid by mutual funds from foreign sources are combined for tax purposes
- any foreign taxes paid that are eligible for the foreign tax credit
- net capital gains

When an investor realizes a capital gain (or loss) through the redemption of fund shares, the fund reports the transaction on a T5008 Supplementary tax slip. This slip shows the proceeds of the disposition, which are used by the investor for calculating the capital gain or loss.

Mutual Fund Corporations

In accordance with the Income Tax Act, a mutual fund corporation must have the following characteristics:

- a public Canadian corporation
- its only undertaking must be the investing of the corporation's funds
- it must have issued and have outstanding shares that are redeemable on demand by the holder that account for at least 95% of the fair market value of all outstanding shares

If the mutual fund is structured as a corporation, rather than a trust, the investment income is paid to the investors as either ordinary dividends or capital gain dividends from the mutual fund corporation. The investment income does not flow through to the investors as simply as it does with a trust. It is first taxed to the corporation and then it is paid as dividends to the shareholders. However, when it is paid to the shareholders, the corporation receives a refund of the income tax paid by the corporation. The mechanics of the taxation of the corporation and the refund of taxes upon the payment of dividends are complicated. However, from the investor's point of view, it is quite simple. The investment income is taxed at the same rates, as it would be if it were earned directly by the investor.

Tax receipts

The ordinary dividends and capital gains dividends distributed by mutual fund corporations are reported on T5 income tax slips.

Ordinary dividends

Investment income received by the corporation as interest and dividend income is paid to the shareholders as dividends. They are eligible for the dividend gross-up and tax credit because a taxable Canadian corporation pays them.

Capital gains dividends

A capital gains dividend is a dividend paid by a mutual fund corporation that is deemed to be a capital gains distribution, and 50% of the capital gain is taxable to the investor. The capital gains dividend does not reduce the adjusted cost base of the shares.

Comparing Mutual Fund Trusts and Corporations

Here is a summary of the major differences in taxation for mutual fund trusts and corporations.

Trusts	Corporations
• can flow through income to investors without paying tax	• must pay tax on income and then request refund when capital gains and dividends are distributed to investors
• beneficial tax structure for all income types	• tax structure is beneficial for capital gains and Canadian dividends only
• tax liability occurs when the mutual fund units are sold	• may be able to switch between funds within the corporate structure without incurring tax

Review

Let’s look at the concepts covered in this unit:

- Decision Making and Behaviour
- Term Deposits, Treasury Bills and Interest Producing Investments
- Features of Mutual Funds
- Mutual Fund Structure and Oversight
- Types of Mutual Funds
- Mutual Funds and Taxation

You should now have a good understanding of Investments concepts and when you are ready, you can complete the formal assessment.

Formal Assessment

Now that you have completed Investments, you are ready to assess your knowledge.

You will be asked a series of questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Note: Once you submit your answers to the assessment questions for grading, you will no longer be able to view the questions and the possible responses in their original format (you will only see the feedback for each question). If you want to use the assessment questions for study purposes at a later date, print the questions *before* you submit them for grading.

Go to Assessment

Module 5

Investments and Financial Planning

Welcome to the unit, Investments and Financial Planning.

After completing this unit, you will be familiar with the following concepts:

- Financial Management
- Risk Management and Insurance
- Tax Planning
- Estate Planning

Financial Management

- Welcome to the lesson, Financial Management.

- Investments and Financial Management
- Financial management revolves around the financial position of an individual. It involves gaining an understanding of his or her current situation but also, projecting what his or her future financial position will look like. Developing personal financial statements such as a balance sheet, a statement of net worth, a cashflow statement and a statement of lifestyle expenditures and undertaking an in-depth analysis of these statements is integral to the financial management process.
- It is important that a financial advisor recognize that financial management is the foundation of a client's financial affairs and it has a material impact on the goals and objectives of the client and the strategies that are ultimately recommended. For example, a client may well want to retire at age 55 however, if during his or her working years, the client does not have the cash flow to support the savings needed to fund an early retirement, the goal will either not be attainable or, will require some measure of compromise by the client.
- For investors, interest-bearing investments, including term deposits, GICs, principal protected notes and treasury bills, can play an important role in financial management. Notwithstanding the less than ideal tax treatment of interest income and the relatively low investment returns, these kinds of investments predominantly feature preservation of capital and liquidity (assuming the

investment is short-term and/or redeemable) and as such are ideal investments to form the basis of an emergency fund. Interest-bearing investments can also be important in structuring the fixed income component of a client's investment portfolio and to enhance his or her cash flow by generating a regular stream of investment income.

- Similarly, a financial advisor may consider mutual funds when making recommendations relating to a client's financial management. These investment options offer tremendous flexibility, liquidity and diversity that make them suitable to address a broad range of investment objectives.

- Overview
- Technically, money is a medium of exchange or a measure of value that you can use to pay for goods and services and to settle debts. Money in our society is, in its most basic sense, an economic necessity. You need money to purchase the things that you require for your survival and well-being.
- However, money is also a motivator of human behavior, and it means different things to different people. Depending on the person, money may symbolize power, security, freedom, self-respect, happiness or even love. The way that you perceive money significantly influences the way that you manage it. This influence can be either positive or negative, in that it may help or hinder your ability to meet your financial goals.
- The money management process is an essential component of any financial planning process. In fact, good money management mirrors the five-step financial planning process. Because the use of credit is so prevalent in our society, credit management is a critical component of sound money management.
- This lesson discusses the range of perceptions that people have about money, and how those perceptions affect their money management decisions. It also provides information on how you can use money wisely through cash flow management, budgeting and the cautious use of credit.

Personal Money Perceptions

Everyone has different values or perceptions about money and the role that it plays in their lives. Though most people have similar perspectives, some people have more extreme values and perspectives. Some examples of these extremes are:

- Value of money: To some people, money means security, and the need to save money controls most of their financial decisions. To others, money means freedom and a way to do whatever they please, right now, today, without any thought of what is needed for tomorrow.

- Risk tolerance: Some people are so afraid of risking their future financial security that they shun all but the most conservative of savings vehicles, or even worse, keep their cash hidden away at home. Others are quite flamboyant about their investments and are tantalized and tempted by get-rich schemes that are almost certainly doomed to failure.

- Credit: Some people consider credit to be a natural extension of their personal bank account. They believe that they must be in a strong financial position as long as someone is willing to advance them credit. Others refuse to enter into any kind of credit arrangement, even when it is justified for a modest house purchase, or when borrowing money for investment purposes makes good sense.

As an adult, your own approach to money has likely been influenced by your parents, family members, cultural background, and your financial experiences. For example, if the lack of money was a frequent cause of bitter parental disputes when you were growing up, you may have come to believe that building your savings and financial security is a priority. On the other hand, if money never seemed to be a problem when you were growing up and your parents never discussed the issue in front of you, you might have developed a more carefree attitude towards money management.

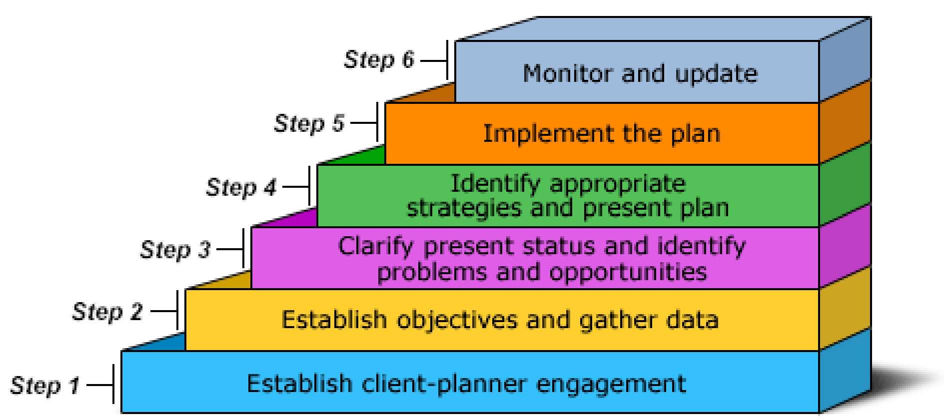
Example Caroline, a 35-year-old lawyer, is the only child of a successful professional couple. She works 60-hour weeks and has an income of $150,000 per year. She owns a beautiful home in an exclusive part of town, drives a BMW and belongs to the best clubs. However, she has a high mortgage balance on her house and she leases her BMW. She has $250 in the bank, a $23,000 outstanding balance on her credit card and lives from paycheque to paycheque.

Example In contrast, Jacques is a 50-year-old engineer. He was born and raised along with his six siblings in rural Ontario, and he was always taught the value of saving. David is the president of an engineering company, and he also works very hard to earn $150,000 per year. He owns a comfortable home in a good part of town and drives a four-year-old Chevrolet. He has fully paid for both his house and car. He does not believe in credit cards and pays for everything in cash unless travelling on company business. Jacques has always contributed the maximum to his RRSP and has invested other savings in blue chip stocks. As a result, he has built a portfolio worth $850,000

A fundamental underlying element of the money management process is understanding your own perceptions about money so that you can work to overcome any biases that may be hindering the achievement of your financial objectives.

Financial Planning Process

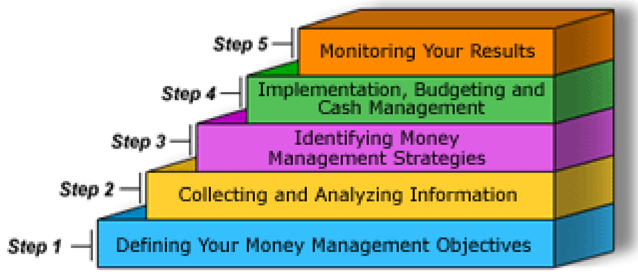
As seen in other courses, the financial planning process consists of 6 basic steps.



Money Management and the Financial Planning Process

Money management is an essential component of any financial planning process. You need to have income to be able to sustain your lifestyle. Effective money management will help ensure that you will have some money left over, after paying for basic necessities and taxes to implement your long-term financial strategies.

The money management process is similar to the 6-step financial process. However, in this lesson we will discuss the money management process from your perspective and eliminate the establishment of the client-planner relationship. The 5-steps of the money management process are as follows:

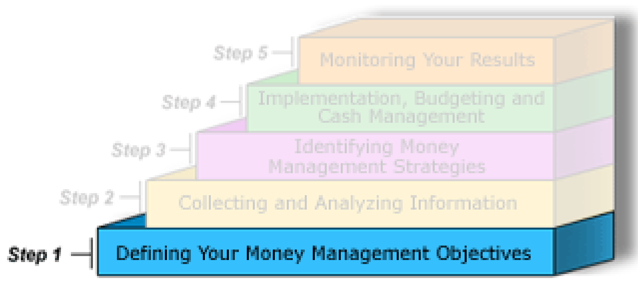


Although it is similar to the financial planning process, the focus of the money management process is narrower. It deals with the management of cash over the relatively short term (days, months or a few years) and it includes debt and credit management. It does not deal with many of the broader and longer-term issues covered by a comprehensive financial plan, such as insurance, estate planning, the appreciation of capital assets or the tax implications of owning a second property.

As with the financial planning process, the steps in the money management process are somewhat flexible and they occasionally overlap. Step 1 and Step 2 (setting objectives and data collection) are particularly inter-related.

Step 1: Defining Your Money Management Objectives

An objective is a financial state or position that you want to achieve. Well-defined objectives are critical to the success of any money management plan. They provide your plan with a sense of purpose, and a benchmark against which you can measure your progress.



When you develop a personal financial plan, your objectives tend to be long range and all encompassing. They may include building financial security, financing a larger home, minimizing life risks, planning for retirement or distributing your estate. When you develop a money management plan, your objectives are likely to be specifically oriented towards cash and focused on a shorter time frame.

Some examples of money management objectives include:

- paying off an outstanding credit card debt
- avoiding bank overdraft and NSF (non-sufficient funds) charges by improving the management of your income and expenses
- establishing an emergency fund or

- saving $1,000 over the next six months to pay for a vacation

Some money management objectives may relate directly to strategies in your broader financial plan, such as having sufficient money available each month to contribute towards your retirement.

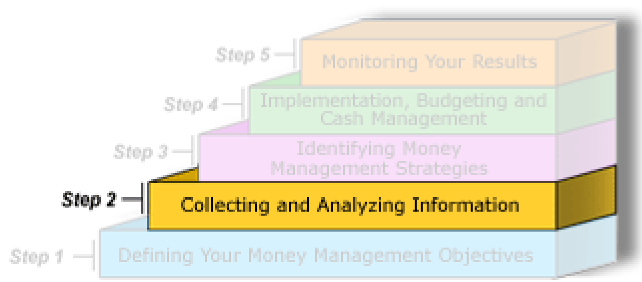
Example Two of Robert and Nicole Tremblay's financial objectives are for Robert to contribute $3,430 to a spousal RRSP and for Nicole to contribute $2,578 to her own RRSP. One of the Tremblay's money management objectives could therefore be to set aside sufficient cash each month to implement these strategies.

Money management objectives must be realistic in view of your level of income and expenses. The objective of having $2,000 left over each month to put towards your savings when your household has an annual income before tax of $27,000, two children, and a mortgage is not realistic. However, objectives should also require some moderate effort on your part to be worthwhile.

As with the broader financial planning process, it is imperative that you and your spouse or common-law partner agree on your money management objectives. Through discussion and compromise, you must both identify and establish priorities for your objectives, and agree to commit yourselves to your cash management plan.

Step 2: Collecting and Analyzing Information

In order to determine if your objectives are realistic, you must have a good understanding of your current income and expenses. This exercise can also help you determine if you have any chronic money management problems, such as excessive use of credit cards or a consistently overdrawn bank account.



A number of common financial statements are useful in both the financial planning process and the money management process. These include the following:

- statement of net worth
- balance sheet
- statement of lifestyle expenditures
- statement of cash flow

Each statement is described in more detail on the following pages.

Statement of Net Worth

Net worth is the best single measurement of your financial condition and resources at a specific point in time.

$$\text{Net Worth} = (\text{assets} - \text{liabilities})$$

By preparing a statement of net worth—also referred to as a statement of financial position—every year, you will be able to see the financial growth or decline that you have achieved. A statement of net worth includes a summary of your liquid assets, investment assets and personal assets, along with any related debt obligations, as shown in the example for Robert and Nicole Tremblay in the following table.

Statement of Net Worth
For Robert and Nicole Tremblay
as at December 31st

		Equity Ratio
Liquidity		
Liquid Assets	$10,765	
Short-term Obligations	-6,200	
	4,565	42%
Equity in Investments		
Investment Assets	185,220	
Investment Loans	-43,000	
	142,220	77%
Equity in Personal Assets		
Personal Assets	208,000	
Long-term Personal Loans	-106,000	
	102,000	49%
Deferred Income Taxes	-18,249	
NET WORTH	$230,536	

The table also shows an equity ratio for each set of assets. An equity ratio is the ratio of net worth (assets – liabilities) to total assets.

$$\text{Equity Ratio} = \frac{(\text{assets} - \text{liabilities})}{\text{assets}}$$

The equity ratio for your liquid assets and short-term debts provides a measurement of your ability to pay short-term obligations as they come due. Your equity ratio for your investment assets indicates the extent to which you are leveraging your investments. If you can earn a higher rate of return on the funds that you borrowed than the cost of borrowing the funds, you are earning money with other people's money.

Your equity ratio for your personal assets is a measure of the extent to which you have borrowed to finance these purchases. The interest on these debts is usually not tax deductible.

Example Robert and Nicole have personal assets worth $208,000, with outstanding loans of $106,000, the equity ratio for their personal assets is 49%, calculated as [(personal assets - outstanding loans) ÷ personal assets] or [($208,000 - $106,000) ÷ $208,000].

In addition to providing an overall measure of your financial health, your statement of net worth documents the amount of cash or other liquid assets that are available to be managed.

Balance Sheet

The balance sheet is similar to a statement of net worth, although the information is presented in more detail and is organized somewhat differently, as shown in the example below.

Like the statement of net worth, your balance sheet provides an overview of your financial situation at a single point in time. The balance sheet is of limited use as a financial planning tool because it does not readily show how various strategies could affect your financial situation. However, it is useful in the money management process because it provides a clear picture of your assets and liabilities, including short-term debt obligations that are of particular concern in money management.

The following table includes the Tremblay's balance sheet for two consecutive years, which shows how they have repositioned their assets and liabilities over that time. For example, they have:

- made significant contributions to their RRSPs
- sold their cottage
- sold the rental property and used part of the proceeds to eliminate the mortgage on their house
- purchased another rental property with part of the purchase price provided by a mortgage loan
- increased the balance on their credit cards

Balance Sheet
Robert and Nicole Tremblay
as at December 31st

	Last Year	This Year
ASSETS		
Liquid Assets		
Cash	$5,300	$3,392
Short-term investments	4,200	0
Other liquid investments	1,265	2,776
	10,765	6,168
Investment and Business Assets		
RRSP – Robert	28,720	36,300

RRSP – Nicole	500	6,860
Registered Pension Plan	14,500	17,140
Canada Savings Bonds	10,000	0
Common shares	4,500	5,000
Rental property	95,000	99,750
Mutual funds	32,000	36,000
Other investments	0	21,000
	185,220	222,050
Personal Assets		
Residence	125,000	137,500
Furnishings	17,000	17,000
Vehicles – two cars	21,000	21,000
Cottage	35,000	0
Other personal assets	10,000	10,000
	208,000	185,500
Total Assets	$403,985	$413,718
LIABILITIES AND NET WORTH		
Short-term Obligations		
Credit Cards	$3,200	$5,200
Personal loans	3,000	4,000
	6,200	9,200
Investment and business loans		
Bank loans	25,000	25,000
Mortgage	18,000	72,000
	43,000	97,000
Loans to purchase personal assets		
Mortgage on residence	70,000	0
Car loans	12,000	9,800
Mortgage on cottage	24,000	0
	106,000	9,800
Deferred Income Taxes	18,249	26,870
Net Worth	230,536	270,848
Liabilities and Net Worth	$403,985	$413,718

Statement of Lifestyle Expenditures

Your statement of lifestyle expenditures shows how much money you pay to sustain your current lifestyle. It also includes the interest charges that are associated with financing major capital purchases, such as a house or a car. However, it does not include income taxes or any capital transactions that increase or decrease your personal, business or investment assets.

The following table provides the Tremblay's statement of lifestyle expenditures for two consecutive years. One of the major changes of note here is that, since they shifted their mortgage obligations from their home to their rental property, the interest expense no longer shows up on their statement of lifestyle expenditures. Also, in response to recommendations from their financial planner, they have increased their life and disability insurance coverage.

Statement of Lifestyle Expenditures
Robert and Nicole Tremblay
for the Year Ending December 31st

	Last Year	This Year
Mortgage (interest only)	$8,460	$0
Property taxes	1,900	1,995
Insurance	700	735
Utilities	2,300	2,415
Maintenance	1,600	1,600
Garden Upkeep	500	500
Housing Costs	$15,460	$7,245
Food	4,600	4,830
Household expenses	700	735
Telephone	900	900
Personal care	1,200	1,260
Clothing	4,300	4,500
Other	500	500
Food, Household, etc.	$12,200	$12,725
Car payments (interest only)	1,400	1,100
Insurance	700	770
Gasoline	2,100	2,200
Maintenance	1,200	1,200
Public Transportation	500	550
Transportation	$5,900	$5,820
Entertainment	1,500	1,500
Eating out	1,200	1,200
Gifts	1,400	1,400

Fees, Accounting, etc.	1,700	1,800
Holidays	1,200	1,200
Other	5,300	0
Discretionary	$12,300	$7,100
Medical expenses	600	650
Life and disability insurance	300	1,000
Payroll deductions (sundry)	1,800	2,000
Bank Charges (including overdraft & NSF charges)	240	270
Credit Card Interest	580	630
Other	1,320	1,600
Miscellaneous	$4,840	$6,150
Basic Lifestyle Expenditures	$50,700	$39,040

Statement of Cash Flow

Your statement of cash flow is perhaps the most important piece of information for money management purposes. It describes all money flows over a period of time, including all sources of income, taxes, lifestyle expenditures, investments, the interest expenses associated with those investments, mortgage, or other loan principal repayments, and money received from the sale of assets. It shows whether you have any cash left over at the end of the reporting period, and is a useful place to start when preparing a budget.

The following table is the Tremblay's Statement of Cash Flow for two consecutive years. In addition to showing how their cash flow has been reallocated over the two years, it demonstrates that they have actually reduced their income tax by over $400, despite an increase in total income of over $4,500. This can largely be attributed to their RRSP contributions and the fact they shifted their mortgage obligation from their personal residence (where the interest expense is not tax deductible) to their rental property, (where the interest expense offsets rental income).

Statement of Cash Flow
Robert and Nicole Tremblay
for the Year Ending December 31st

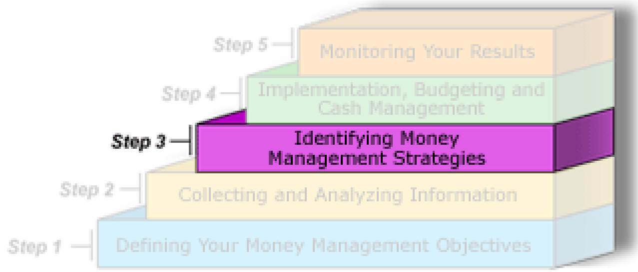
	Last Year	This Year
Cash from Sources of Income		
Employment and self-employed income	$72,000	$76,500
Pension income	0	0
Dividends, interest, and rents	12,015	12,045
	84,015	88,545
Cash Outlays for Expenses		
Income taxes	-17,520	-17,104

Lifestyle expenditures	-50,700	-39,040
Interest expense for investments	-5,160	-11,640
Other cash outlays for expenses	0	0
Unaccounted for difference in cash	430	44
	-72,950	-67,740
Cash flow from income and expenses	11,065	20,805
Cash Flow from Net Investment Assets		
RRSP – Robert	-2,420	-4,250
RRSP – Nicole	-500	-5,818
Registered Pension Plan	-1,080	-1,134
Canada Savings Bonds	0	10,000
Common shares	0	0
Rental property	0	0
Mutual Funds	0	0
Other investments	0	-20,000
Investment Loans	-500	54,000
	-4,500	32,798
Cash Flow from Net Personal Assets		
Residence	0	0
Furnishings	0	0
Vehicles - two cars	0	0
Cottage	0	35,000
Other personal assets	-500	0
Loans to purchase personal assets	-3,500	-96,200
	-4,000	-61,200
Total Cash from All Activities	$2,565	-$7,597

Step 3: Identifying Money Management Strategies

The more Canadians earn, the more they tend to spend. Regardless of their income, many people tend to shy away from the financial planning process because they feel that they barely have enough money to meet their immediate needs, let alone extra money for investment or savings purposes.

As a result, money management is a critical first step for many people undertaking the financial planning process. By adopting some of the money management strategies discussed in the next few pages, you may find that you do have discretionary cash to meet your financial objectives.



Pay yourself first

Experience has shown that if you do not plan to save first, you will likely not save at all. Planning to save what is left over does not seem to work because there is rarely anything remaining after expenses. Therefore, one of the simplest and most successful money management strategies is to pay yourself first, which involves earmarking a portion of your income for savings before any expenses are paid. To reduce the temptation to spend, arrange to have the savings deducted directly from your pay or arrange to have the money transferred automatically from your chequing account to an investment account. Historically, this strategy has been called a pre-authorized chequing arrangement or PAC however, in more recent times, a PAC has more typically come to mean pre-authorized contribution. A PAC can also be used to purchase mutual funds.

Account for your expenditures

Many people have only a vague idea of how they spend their money. When you collect the information on your expenses and cash flow, you may be surprised to learn how much you spend on incidentals like take-out food at lunchtime or magazines. Pay particular attention to those items that you tend to lump in the miscellaneous category. You may want to reconsider whether these miscellaneous expenditures are necessary to maintain your lifestyle.

Limit Available Cash

A large balance in your wallet or everyday bank account may be money that is "burning a hole in your pocket". Reduce the temptation to spend this money by transferring it to a savings vehicle, leaving only the cash necessary to cover your planned expenditures easily accessible.

Do not be too strict on yourself

While the strategies discussed to this point are effective and important, take care not to go overboard and deny yourself any discretionary expenses or make yourself accountable for every penny spent. A miscellaneous component is a realistic and essential part of any money management system, provided it is held to a reasonable and justifiable percentage of total expenditure. As in dieting, overly strict denial will doom your best intentions.

Use credit wisely

Credit has become a part of our everyday life as we can use it in one form or another to purchase just about every type of good or service available. While there is no doubt that credit is a convenient way to pay for transactions, when it is misused the buy now and pay later approach can lead to real problems. Credit can derail your financial plans by:

- seducing you into buying things that you really do not need
- subjecting you to hefty interest charges
- reducing the amount of cash available for implementing financial planning strategies

If you use a credit card for a lot of small purchases or you buy major items on an installation basis, you should be sure that the required minimum payments are within your cash flow capacity. Ideally, you should be able to pay off all credit card balances when you receive your monthly statement.

Credit experts recommend that maximum monthly credit payments should be kept to 20% of the after-tax income, less any mortgage payments.

Pay Off Debts Quickly

Debt payments can put a significant dent in your cash flow, reducing the amount of money that you have available for implementing other financial strategies. Paying off debts, therefore, can free up your cash flow. As important as cash flow management may be, however, the most important reason for paying off your debts is because it may be the best financial investment that you can make.

You can use your savings to pay down your debt, or you can invest this money.

The following are factors to consider in determining the better choice:

- the rate of return that you can earn on your investment and the income taxes on your investment income
- the interest rates that you pay on the debt and the income tax implications of paying down debt

Investing the Money

If you invest the money, you will earn interest, dividends, rents, and/or capital gains and must pay tax on the income.

Example Assume Robert's marginal tax rate is 40%, and he has an extra $1,000 of cash. He might choose to purchase a guaranteed investment certificate (GIC) and maybe earn 3% or $30 in interest in the first year.

The following are the specific calculations for the after-tax investment return:

- the interest on the GIC is $30, calculated as (the interest rate x the principal) or (3% × $1,000
- the tax on the interest income is $12, calculated as (the marginal tax rate x the interest income) or (40% × $30)
- the after-tax income is $18, calculated as (the interest income - the taxes) or ($30 - $12)
- the after-tax return is 1.8%, calculated as (the after-tax income ÷ the principal) or ($18 ÷ $1,000)

The formula for deriving the after-tax income (ATI) from before-tax income (BTI) based upon the marginal tax rate (MTR) is:

$$(1)\ ATI = (BTI - (BTI \times MTR))$$

$$(2)\ ATI = (BTI \times (1 - MTR))$$

Alternatively, if $ATI = (BTI \times (1\text{-}MTR))$, then

$$BTI = (ATI \div (1 - MTR))$$

where: ATI = after-tax income

BTI = before-tax income

MTR = marginal tax rate

These formulas express the investment returns as dollars. However, there are situations where it is useful to refer to investment returns as percentages, calculated as the investment returns in dollars divided by the principal or amount invested in dollars.

The formula for after-tax investment return (ATR) is:

$$(4)\ ATR = (ATI \div \text{principal})$$

The formula for before-tax return is

$$(5)\ BTR = (BTI \div \text{principal})$$

Using formula (2),

$$ATR = (ATI \div \text{principal}) = ((BTI \times (1 - MTR)) \div \text{Principal})$$

$$ATR = ((BTI \div \text{Principal} \times (1 - MTR))$$

$$(6)\ ATR = (BTR \times (1 - MTR))$$

Alternatively, if $ATR = (BTR \times (1 - MTR))$, then

$$(7)\ BTR = (ATR \div (1 - MTR))$$

where: ATR = after-tax return

BTR = before-tax return

MTR = marginal tax rate

So, in the example, the after-tax return is 1.8%, calculated as $(3\% \times (1 - 40\%))$.

Paying Down Debt

Interest on a loan is deductible from taxable income if and only if the purpose of the loan is to produce business or investment income.

Example Robert and Nicole own a house in which they both ordinarily reside. Since, this property is being used as their principal residence rather than as an income producing investment, the interest expense on their mortgage will not be tax deductible. Similarly, if Robert and Nicole purchase a rental property, take out a loan secured by a mortgage on this rental property and use the proceeds to pay off the mortgage on their principal residence, the interest on this new loan would not be deductible because the proceeds are not directly used for investment purposes. However, the interest expense from the mortgage on their new rental property will be tax deductible because the proceeds of the loan are being used to generate property income in the form of rental income.

You cannot deduct the interest expense for consumer purchases from your taxable income, so you have to pay the interest expense in after-tax dollars that are remaining after income taxes have been paid. If you pay down the debt, you will not have to pay interest. You will not have to pay income taxes on the interest that you saved.

Example Now assume Robert also has an outstanding credit card balance of $1,000, and his card carries an interest charge of 18%. If he carried that $1,000 for one year, he would pay $180 in interest, using after-tax dollars. In fact, he would have to earn $300 to have the $180 left over to pay the interest. Therefore, if he used his spare $1,000 to pay off the credit card, he would save $300 in interest in one year, which is the same as a return on his investment of 30%.

- the interest on the loan is $180, calculated as (the interest rate x the principal) or (18% × $1,000)
- the interest on the loan is in after-tax dollars. Using formula (3), the amount of before-tax income required to pay the interest of $180, is $300, calculated as BTI = [ATI ÷ (1 - MTR)] or [$180 ÷ (1 - 40%)]
- the 18% interest rate is an after-tax rate. The before-tax rate is the rate of return you would need before-tax to have 18% left after-tax. The equivalent before-tax rate of return is 30%, calculated as BTR = [ATR ÷ (1 - MTR)] or [18% ÷ (1 - 40%)]

Investing vs. paying down debt

The primary consideration in deciding whether to invest or pay down debt is the after-tax return on the investment compared to the interest rate on the debt.

So, Robert can earn 1.8% after-tax on his GIC or save 18% after-tax by paying down his debt.

Alternatively, you can consider the before-tax return on the investment compared to how much Robert would have to earn to pay the tax and then the debt. This is called the equivalent before-tax return.

Robert can earn 3% before-tax on his GIC but, will have to earn 30% before-tax to have 18% left to pay his debt.

Avoid Unnecessary Bank Charges

If you do not keep a close eye on your bank balance, you may run the risk of bouncing cheques, which is writing cheques where there are insufficient funds in your account to cover the cheque. Not only can this hurt your reputation with creditors, it can be costly when the merchants turn to you to cover the NSF (non-sufficient funds) administration charges, which can cost more than $40 per incident depending on the financial institution.

If you bounce cheques frequently, or if you have an erratic cash flow pattern (e.g., you only get paid once per month, but your mortgage is paid every other week), you may benefit from overdraft protection offered by your bank. With overdraft protection, your bank will cover cheques and debits from your account, up to a prearranged credit limit. You may pay high daily interest on the credit extended by your bank, and administration fees, but you will not face NSF charges.

Overdraft protection is only intended to cover brief periods (a few days) of negative cash balances. You should not rely on overdraft protection, as a source of long-term credit, because the interest charges will quickly accumulate and the interest rate charged is often quite high.

Funding an Emergency

There are countless events that are almost impossible to plan for and that can seriously derail the best-formed cash management plan. These unexpected events can be moderately inconvenient, like a major car repair, to the potentially disastrous, like the death or disability of an income earner. Some of the problems can be moderated by life or disability insurance or unemployment benefits, but even in these cases, there will be a financial impact.

Some form of emergency funding is critical to every cash management plan. The size of the emergency fund that is right for you will vary on your circumstances. You might want to consider questions such as:

- How secure is your job?
- If you lost your job, how difficult would it be for you to find a new one?
- What would happen to your cash flow if you or your spouse became disabled?
- What is the condition of your car, your furnace, and your major appliances?
- Could you handle unexpected travel expenses?

You should also consider saving to meet anticipated decreases in income or increases in your expenses, such as the addition of a new family member, children starting post-secondary education, or your own retirement.

Many financial planners recommend that you set aside enough money in an emergency fund to cover four to six months' worth of living expenses. If your family has an after-tax income of $24,000 and you are barely meeting your day-to-day expenses, setting aside $8,000 to $12,000 may seem next to impossible. However, you may be able to structure your assets so that you can get at them in an emergency, reducing the need for such a large stockpile of cash. For example, you might have mutual funds that you could sell, or RRSPs that you could draw on during periods of long unemployment, when your taxable income is reduced. Once you pass through the financial crisis, be sure to restore your assets to their previous levels.